

GST and agents [¶32-610]

[¶32-610]

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Goods and services tax law distinguishes between supplies made *by* an agent (on behalf of a principal) and supplies made *to* an agent (on behalf of a principal). An “agent” is a person who is expressly or impliedly authorised to act for another party (Case M40 [\(1990\) 12 NZTC 2,247](#) at 2,253).

Supplies made by an agent — s 60(1)

As a general rule, supplies made by agents are deemed to be made by the principal and not the agent. For example, a company is deemed to make a supply if an independent contractor makes the supply on the company's behalf. The company, and not the independent contractor, is then left with the GST consequences flowing from the making of that supply (accounting to the Commissioner for output tax on the sale, deducting input tax, etc). Separate GST considerations will arise for the supply made by the independent contractor to the company in acting as agent (ie the contractor must account to the Commissioner for GST charged on the service provided to the company and can be required to issue taxable supply information to the company).

Separate supplies — s 60(1B)

Despite the general rule above, when an agent and principal agree that s [60\(1B\)](#) applies to a supply of goods or services, the supply is treated as 2 separate supplies — namely a supply from the principal to the agent and a supply from the agent to the recipient and so that 2 invoices may be issued. The agreement must be recorded in a document and it may relate either to a particular supply or for a type of supply.

The principal pays output tax on the supply to the agent, and the agent pays output tax on the supply to the recipient and claims input tax on the supply from the principal. The bad debt provision ensures the principal cannot claim a bad debt deduction if the agent has been paid for the supply of the goods and services to the recipient.

Supplies made to an agent — s 60(2)

Supplies made by a registered person to an agent are deemed to be received by the principal and not the agent. For example, the principal is deemed to receive a supply when an agent makes a taxable purchase of land. Here the principal, and not the agent, may deduct input tax.

For example, funeral directors act as agents for their clients for GST purposes for goods or services acquired from third parties. Such transactions include advertising of funeral notices, flowers for funeral services, printing of orders of service, purchase of burial plots, and minister or organist services. The effect of s [60\(2\)](#) is that the agent “drops out” of the transaction. For GST purposes, the supply of goods or services by a third party to a funeral director as agent for a client would be treated as a supply to the client and not to the funeral director (*Tax Information Bulletin* [¶138-101 Vol 13, No 8](#), August 2001 at 9).

QWBA, [QB 16/03](#), “Goods and Services Tax — GST treatment of bare trusts” considers whether it is the trustee or the beneficiary of a bare trust who makes supplies in respect of the trust property for GST purposes. The item explains that a bare trustee can be both a trustee and an agent for a beneficiary. Any supply a bare trustee makes or receives is treated as a supply the beneficiary makes or receives. Therefore, it is the beneficiary who makes the supplies, unless the trustee and the beneficiary agree otherwise under s [60\(1B\)](#). This is because it is the beneficiary that carries on any taxable activity and may be registered or liable to be registered under s [51](#).

Separate supplies — s 60(2B)

Section [60\(2B\)](#) provides that when an agent and principal agree that the section applies to a supply of goods or services, the supply is treated as 2 separate supplies — namely a supply from the supplier to the agent and a supply from the agent to the principal. The agreement must be recorded in a document and it may relate either to a particular supply or for a type of supply. The agent cannot claim a bad debt deduction when they go unpaid by the principal (s [26\(4\)](#)).

Supplies of distantly taxable goods or remote services — s 60(1A) and (1AB)

New Zealand-resident agents acting for non-resident suppliers that supply distantly taxable goods, remote services, or listed services to New Zealand-resident consumers may agree with the supplier to treat the agent (and not the principal) as making the supply in the course and furtherance of a taxable activity carried on by them ([¶32-660](#) and [¶32-680](#)).

Separate supplies of distantly taxable goods or remote services — s 60(1C)

When an underlying supplier makes supplies of distantly taxable goods or remote services through a marketplace, the underlying supplier and marketplace operator may treat the supply as 2 separate supplies — namely a supply of goods or services from the underlying supplier to the operator and a supply of those goods or services from the operator of the marketplace to the recipient ([¶32-660](#) and [¶32-680](#)).

Documentation — s 60(3)

An agent acting for a principal may issue or request to be issued with taxable supply information or documentation correcting taxable supply information (previously a credit or debit note) as if the agent themselves had made or received the taxable supply. (Where the agent issues such documents, the principal may not also issue one.) The agent must then maintain sufficient records to enable the name, address and registration number (if any) of the principal to be ascertained.

Supply to agent of non-resident principal — s 60(6)

An agent may be treated as the principal when they receive a supply directly connected with (or with arranging) the importation or exportation of goods. This will be the case if:

- # the agent is a registered person
- # the supply received by the agent is made by a registered person
- # the supply received by the agent is charged with the standard rate of GST
- # the principal is neither resident in New Zealand nor a registered person, and
- # the principal and agent agree that the agent is to be treated as the principal for GST purposes.

Acceptance of this arrangement would enable the agent to deduct GST paid on inputs relevant to the importation or exportation of the goods (s [60\(6\)](#)). This concession is a limited one; eg it does not enable a customs agent to claim customs GST on behalf of a non-resident who imports goods into New Zealand. This is because customs agents do not meet the requirement of “acquiring” the imported goods.

Goods imported by agent treated as supply by agent — s 60(7)

Goods that have been imported into New Zealand by a GST-registered agent acting for an unregistered non-resident principal are treated as being a supply made by the agent if the principal and agent so agree.

Liability of agent of absentee principal — s 59

Under [59\(1\)](#) the term “absentee” is defined as meaning:

- # any person (not being a company) who is out of the country for the time being
- # any company incorporated offshore that does not have a fixed or permanent place in New Zealand (relating to the carrying on of any taxable activity in its own name), and
- # any company incorporated offshore that is declared by the Commissioner to be an absentee.

A person who carries on a taxable activity for and on behalf of an absentee principal is deemed to be an agent of the principal for the taxable activity. The agent is required to make returns and is liable for any tax charged or levied.

Note: Interpretation statement released

Interpretation statement, [IS 21/01](#), “GST and agency” considers whether a person is acting as an agent or as a principal and is primarily concerned with the application of s [60\(1\)](#) and (2). The statement identifies a series of features that support the existence of an agency relationship for GST purposes. In the Commissioner’s opinion, authority and consent are essential features of agency and there can be no agency relationship if they are not present. With respect to other features identified, the Commissioner considers that some strongly support an agency relationship, while others may support the existence of an agency depending on the circumstances. Aside from authority and consent, no one feature will be determinative, and each supply will need to be considered on its facts. Simply because a person has been appointed as an agent for a principal, it cannot be assumed they will always be acting in that capacity for all supplies made or received.

The statement summarises the features that indicate an agency relationship as follows:

“6. In summary, the Commissioner considers there are two essential features of an agency relationship:

Authority: the agent must be authorised to act on behalf of the principal to create or affect the legal relations between the principal and a third party, for the relevant supply.

Consent: the agent and the principal must both have consented to the conferral of such authority on the agent.

7. In determining whether authority and consent are established between the parties as principal and agent, the Commissioner considers the following features strongly support the existence of an agency relationship:

Documentation: the documentation supports an agency relationship

Payment of a commission: the agent receives a commission from the principal as remuneration for services.

Ownership of property: the agent does not obtain a legal interest in any property it obtains as agent.

Assumption of risk: the principal assumes the risk in a transaction.

Enforceability of contract: a contract made by the agent with a third party in the exercise of its authority is enforceable by and against the principal.

Liability to pay debt: the agent is not liable to pay the debts of the principal.

Reimbursement: the principal reimburses the agent for expenses.

8. The Commissioner considers the following features may, depending on the circumstances, support the existence of an agency relationship:

Fiduciary obligations: fiduciary obligations may be owed by the agent to the principal.

Tax: the parties account for tax in a way that is consistent with agency.

Control: the principal has control over the agent.

Use of property: the agent does not treat the principal’s goods as their own asset.

Alteration of property: the agent does not alter or manipulate property obtained as agent.

Sale price: the principal sets the sale price of goods.

Notification of sale details: the agent is required to notify the principal of the price at which the goods were sold and the identity of the customer.

Separate funds: the agent keeps the principal’s money separate from its own.

Appearance: the agent holds itself out as an agent.”

In addition, the statement:

- # distinguishes agency from other legal relationships
- # discusses how the GST Act can operate to modify an agency relationship
- # outlines the specific compliance obligations on agents and principals
- # includes worked examples, and
- # contains summaries of relevant agency cases.

Customs brokers and agents

QWBA, [QB 22/03](#), “Customs brokers and GST levied by Customs” clarified how Customs brokers should treat GST paid to New Zealand Customs Services on behalf of their clients. The item concludes that the GST paid to Customs does not relate to their taxable activity, but rather to their client’s taxable activity and a broker is not allowed to claim an input tax deduction.

Law: GST ss [59](#), [60](#)

Last reviewed on 31 December 2025

GST and the clean car discount scheme [¶32-620]

[¶32-620]

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A payment under the clean car discount scheme for a vehicle used in a taxable activity is treated as consideration for a deemed supply under the rules relating to government grants ([¶32-023](#)), unless the registered person is a public authority. Therefore, the GST input tax credit must be claimed on the purchase price of the vehicle and the output tax on the rebate received must be returned for GST purposes.

The clean car discount scheme applied from 1 July 2021 until 31 December 2023.

Law: GST s [5\(6D\)](#) and [5\(6E\)](#)

Last reviewed on 31 December 2025

GST and court awards and out-of-court settlements [¶32-624]

[¶32-624]

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Interpretation statement, [IS 23/07](#) "GST – Court awards and out-of-court settlements" considers the GST treatment of court awards and out-of-court settlements.

GST is only charged on a supply of goods or services, therefore not all payments received by a registered person will be subject to GST. The interpretation statement adopts the view that if there is sufficient connection and reciprocity between a court award or out-of-court settlement payment and a supply, GST will be payable upon the payment. Some court awards or out of court settlement payments maybe consideration for a supply or an adjustment to consideration for an earlier supply. Some element of reciprocity must be present to link a consideration to a supply for that supply to be subject to GST. Reciprocity is evidenced by any legally enforceable obligations between the payer and the supplier that may arise as a result of the agreement of the parties or be imposed between the parties by a court. Obligations may be legally enforceable through statute, common law or in equity. Payments that relate to a supply but are not for that supply will not be consideration.

Briefly, the statement discusses the following:

- # the need for sufficient connection and reciprocity between the payment and the supply
- # consideration of the legal arrangements actually entered into in order to determine the aforesaid connectivity and reciprocity
- # the different types of court awards and out-of-court settlements. The legal basis will determine the GST treatment. These include:
 - # compensation for loss
 - # restitution awards
 - # a court order varying a contract price
 - # payments made in the alteration or variation of a contract
 - # payments made for an agreement not to pursue further legal proceedings
 - # payments made for a continuing wrong

See [46] to [74] of the statement for detailed discussion on these court awards and out-of-court settlements.

If the payment is consideration for a supply, the supplier will be liable to GST if the supply was made in the course or furtherance of a taxable activity. The accounting basis is discussed and how to claim a deduction in a later period if a deduction has not already been claimed. Note that there is a limited period for claiming input tax deductions (discussed in [QB 09/04](#)," The relationship between section [113](#) of the Tax Administration Act 1994 and the proviso to section [20\(3\)](#) of the Goods and Services Tax Act 1985 when a registered person has not claimed an input tax deduction in an earlier taxable period". The limitation period does not apply if the registered person's failure to claim the deduction is due to:

- # the recipient was unable to obtain taxable supply information
- # a dispute over the proper amount of the payment for the taxable supply to which the deduction relates
- # the recipient's mistaken understanding that the supply was not a taxable supply, or
- # a clear mistake or simple oversight by the recipient.
- # If the payment is a variation of the previously agreed consideration and within the scope of s [25](#) of the GST Act, a GST adjustment may need to be made by the relevant parties.
- # If a global award is made by the court and part of the award is payment for a taxable supply, apportionment must be undertaken under s [10\(18\)](#) and the amount properly attributable to the taxable supply ascertained.

[IS 23/07](#) does not discuss whether the payment is within the scope of s [20A\(4\)](#). Section [20A\(4\)](#) deems an award of costs to be supplied in the course of a taxable activity, so output tax will be payable by the taxpayer.

Where a payment is for loss or damage, it will not be consideration for a supply and there will be no element of reciprocity between the parties; rather, the payment is to compensate one party for the loss caused by the wrongful act of the other.

Costs awarded by a court to a successful litigant should be treated in the same way as an award of damages, ie GST will not generally arise because no underlying supply has been made (Case S65 [\(1996\) 17 NZTC 7,408](#) and *Thoroughbred & Classic Car Owners' Club Inc v Coleman* CA203/93, 25 November 1993).

An exception arguably arises in cases involving income tax or GST disputes where costs are awarded to a taxpayer. Arguably, any costs award should therefore either have GST added to it or be expressed as "inclusive of GST". In *Adcock and Devir v Marlborough District Council* [\(2011\) 25 NZTC ¶20-029 \(DC\)](#) the District Court considered whether GST would be included in costs and concluded that GST was not to be added to costs awarded.

If an award is subject to GST and no allowance was made for the GST liability in the amount of the award, the person making the payment might get a windfall by way of input tax credits refunded from IR with the recipient being required to account for GST on the sum.

Last reviewed on 31 December 2025

GST and cross-border telecommunications services [¶32-627]

[¶32-627]

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A “telecommunications supplier” is a person whose principal activity is the supply of telecommunications services. “Telecommunications services” includes the transmission, emission or reception of signals, writing, sound or information by wire, cable or other technical system and supply of access to the Internet but does not include the content of the telecommunication.

Telecommunications services will be treated as being supplied in New Zealand if the supplier is not resident in New Zealand and a person physically present in New Zealand initiates the supply, whether on behalf of another person or not. In this case, s [8\(6\)](#) overrides the general “place of supply rule” under s [8\(2\)](#). This section does not apply to supplies between telecommunications suppliers or inbound mobile roaming services supplied to a non-resident person (s [8\(7\)](#)). A second exception in s [8\(8\)](#) ensures that, unless the supplier and recipient agree otherwise, a supply of telecommunications services from a non-resident to a registered person in New Zealand is not subject to GST.

The rules require non-resident telecommunications suppliers to identify customers who initiate telecommunications services in New Zealand and the GST status of such customers. Section [8\(9\)](#) sets out the criteria to determine which party to a supply of telecommunications services has initiated the supply. If more than one person satisfies these factors, the person initiating the supply is the person who appears highest on the following list:

- # the person who controls the commencement of the supply
- # the person who pays for the service, and
- # the person who contracts for the supply.

When the use of the physical location test is impractical for a class of customer or service, s [8A](#) deems there to be a supply of services in New Zealand when a person with a billing address in New Zealand initiates a supply of telecommunications services from a telecommunications supplier outside New Zealand. This “billing address” test is used for a member of a class of customer or service and it must be used consistently for all members of that class of customer or service. Address means physical residential or business address and does not include a post office box number. See *Tax Information Bulletin* [¶183-106 Vol 18, No 3](#), April 2006 at 13.

Offshore telecommunications suppliers who make more than \$60,000 of supplies to persons in New Zealand will have to register for GST purposes.

Supplies of telecommunications services are zero rated where they are supplied:

- # by New Zealand resident telecommunications suppliers to overseas telecommunications suppliers (s [11AB\(1\)\(a\)](#))
- # to a non-resident person (other than a telecommunications supplier) and the service is initiated outside New Zealand (s [11AB\(1\)\(b\)](#)), or
- # the services are inbound mobile roaming services supplied to a non-resident (s [11AB\(1\)\(c\)](#)).

See further *Tax Information Bulletin* [¶155-133 Vol 15, No 5](#), May 2003 at 69–70.

The definition of “[mobile roaming services](#)” is mobile telecommunications services supplied to a person’s mobile device while they are outside the country of their usual mobile network. The country of a person’s usual mobile network is determined by the country code of the subscriber identity module (SIM) used in their mobile device. The definition of “[mobile roaming services](#)” also includes services supplied to enable a person to receive mobile telecommunications services when they are outside the country of their usual mobile network.

If a person travelling overseas uses a local SIM in their mobile device, they would not be using mobile roaming services. This is because their usual mobile network would be determined by the country code of the SIM — which in this case would be the country they are travelling in.

Mobile roaming services received by a person whose usual mobile network is in New Zealand are “outbound mobile roaming services”. Under the changes, these services are subject to GST at the standard rate of 15%.

Mobile roaming services received by a person who is in New Zealand and whose usual mobile network is outside New Zealand are “inbound mobile roaming services”. These services are not subject to GST as they are zero-rated if supplied by a resident, or treated as being made outside New Zealand (and therefore not subject to GST) if supplied by a non-resident.

Law: GST ss [2\(1\)](#) (“[mobile roaming services](#)”, “[telecommunications services](#)”, “[telecommunications supplier](#)”), [8\(5\)–\(9\)](#), [8A](#), [11AB](#), [51\(1\)\(e\)](#)

Last reviewed on 31 December 2025

GST and cryptoassets [¶32-629]

[¶32-629]

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A cryptoasset is defined as a digital representation of value that exists in a database that is secured cryptographically. Transactions are verified and secured through a cryptographic database or some other similar software. Cryptoassets can be split into cryptocurrency (coins or tokens) and non-fungible tokens (NFTs). Cryptocurrency is defined to mean a cryptoasset that is not an NFT.

Cryptocurrency is specifically excluded from the definition of “goods” and “services”. Therefore, the supply of cryptocurrency is not subject to GST. It is treated in the same way that shares and money are. GST applies to supplies of goods and services that are bought with cryptocurrency. See *Tax Information Bulletin* [¶345-103 Vol 34, No 5](#), June 2022 for a detailed discussion on the taxation of cryptoassets. The discussion includes examples demonstrating the different cryptoassets and activities related to them.

Non-fungible tokens

NFTs are cryptoassets that are, as the name suggests, unique and cannot be converted for another. They contain unique distinguishing identification codes or metadata. These unique cryptoassets are subject to GST when supplied.

Law: GST s [2\(1\)](#)

Last reviewed on 31 December 2025

GST and debt factoring arrangements [¶32-631]

[¶32-631]

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Binding public ruling [BR Pub 21/03](#) “Goods and Services Tax – Debt factoring arrangements” considers whether a GST input tax deduction can be claimed for a bad debt write-off when a debt is factored. The arrangement covered by the ruling is the sale of an outstanding debt, by a GST-registered person (the Assignor), to a third party (the Factor), on a recourse or non-recourse basis, at a price less than the debt's face value.

The Commissioner has ruled that:

- # The difference between the face value of the debt and the price received from the Factor is not a bad debt for the purposes of s [26](#). Accordingly, s [26](#) has no application, and the registered person cannot claim an input tax deduction under s [20\(3\)\(i\)](#), and
- # If a portion of a debt is written-off before it is sold to the Factor, whether this write-off meets the requirements of s [26\(1\)](#) depends on whether the amount written off was “bad” according to the conventional tests as outlined in Public Ruling “[BR Pub 18/07](#): Income tax and goods and services tax – writing off debts as bad” (*Tax Information Bulletin* [¶309-101 Vol 30, No 9](#), October 2018).

The ruling will apply for an indefinite period commencing on 10 August 2021.

Law: GST ss [20\(3\)\(i\)](#) and [26](#)

Last reviewed on 31 December 2025

GST and directors' fees [¶32-635]

[¶32-635]

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A "taxable activity" is defined in s 6 of the GST Act ([¶32-024](#)). Excluded from the definition are the activities of a person in relation to any engagement, occupation or employment under any contract of service or as a director of a company (s [6\(3\)\(b\)](#)). However, the exclusion does not apply to a person who accepts any office in carrying on any taxable activity. In this case, the services supplied as the holder of that office are deemed to be supplied in the course or furtherance of that taxable activity. Therefore, if a GST-registered sole trader, in carrying on their taxable activity, accepts a company directorship, s [6\(5\)](#) applies and GST is chargeable on the director's fees paid.

In addition, s [6\(4\)](#) provides that if an employee is engaged by a third party to be a director or other person referred to in s [6\(3\)\(c\)\(iii\)](#) (eg chairperson or member of any local authority, statutory board, council, committee or other body) and the employee is required to account to their employer for any payment received, the payment will be treated as consideration for a supply of services by the employer to the third party. The employer will therefore account for GST and the third party will be able to claim an input tax deduction. From 30 March 2025, amendments have been made to allow GST-registered organisations to deduct input tax on fees paid to a board member who was appointed by the Governor-General or the Governor-General in Council and accounts to their employer for those fees.

Operational statement, [OP 23/02](#), "Commissioner's operational position on professional directors and board members incorrectly registered for GST" which gives guidance on how the 3 public binding ruling (see below) which were issued in relation to these taxpayers will be applied. The Commissioner is of the view that some directors may be incorrectly registered for GST and has advised that these directors must deregister with effect from 30 June 2023, or such other date as determined by the Commissioner. Deregistration will have an effect for those directors that have acquired assets as part of their taxable activity ([¶32-149](#)). The statement notes that IR has concluded that a person who provides only directorship services is not eligible to be registered for GST. A similar view is stated for board members.

[OP 23/02](#) states that directors and board members operating through personal services companies (ie not in their personal capacity) are able to register the personal service company as long as the personal service company's level of activity is sufficient to be a taxable activity as defined in s [6\(1\)](#) of the GST Act. This is because the Commissioner views the supply of directorship services as distinct from the supply of personally being a director. See commentary on [QB 23/07](#) below.

If a professional director determines that they are incorrectly registered for GST, deregistration can take place by utilising the "cancel your GST registration" process in myIR, or by completion of an [IR315 \(business cessation form\)](#).

Public binding rulings issued

BR Pub 23/01 - Directors' fees

On 22 February 2023, IR released 3 public binding rulings relating to directors' fees. The rulings apply from 1 April 2023 and give directors a brief period to rectify their GST position, if they fall within any of the ruling scenarios. The binding rulings are stated to be a reissue of [BR Pub 15/10](#).

Public binding ruling, [BR Pub 23/01](#), "Goods and Services Tax – Directors' fees", considers the application of GST in relation to the payment of fees to a director of a company. The ruling applies to arrangements where the engagement, occupation or employment of a person is as director of a company. A number of contractual arrangements are covered by the ruling. They are:

- # direct contract between the company and the director
- # indirect contract where the company contracts with:

- # a third party
- # the director's employer, or
- # a partnership of which the director is a partner.

Directors may have a taxable activity in another capacity, like where they are an accountant or lawyer and run an accounting or legal business. If a director has not accepted the office of director in the course of the taxable activity, the appointment as director is excluded from the term "taxable activity" under s [6\(3\)\(b\)](#), and s [6\(5\)](#) does not apply. In this case, the company is not able to claim an input tax credit for any directors' fee paid.

Where the director has accepted the office in carrying on the director's taxable activity, then:

- # the activity is specifically excluded under s [6\(3\)\(b\)](#). However, s [6\(5\)](#) will apply and the services will be deemed to be supplied in the course or furtherance of the director's taxable activity. As a result:
- # if the director is registered (or liable to be registered) for GST, the director is required to account for GST on fees received for the supply of directorship services, and
- # if the company the director is contracted to is registered for GST, the company can claim a deduction for input tax under s [20\(3\)](#) for any GST charged on the directorship services.

Third party contracts with company to provide director services

Binding ruling [BR Pub 23/01](#) also covers arrangements where a third-party contracts with a company to provide director's services and the person accepts the position, but not as part of carrying on a taxable activity (eg an accountant accepts the role of director, but unrelated to their accounting practice). In this case:

- # The director's engagement falls within the exclusion in s [6\(3\)\(b\)](#) and is therefore not a taxable activity. Section [6\(5\)](#) does not apply because the director did not accept the position within a taxable activity.
- # Section [6\(3\)\(b\)](#) does not apply to the third party's provision of director services because that third party is not engaged as the director.
- # If the third party is registered for GST (or liable to be registered for GST), the third party must account for GST charged on the supply of services provided by the director.
- # The company can claim a GST input tax credit.

If the third-party contracts with the company to provide director services, and the director accepts the office while carrying on the director's taxable activity, then:

- # the director's engagement falls within the exclusion under s [6\(3\)\(b\)](#), but because the director is executing the office in the course of their taxable activity s [6\(5\)](#) applies.

In this case there are 2 supplies for GST purposes. They are:

- # the director providing their services to the third party (Supply 1)
- # the third party providing the director's services to the company (Supply 2).

For Supply 1: the director must account for GST charged on the supply of their services and if the third party is carrying on a taxable activity, it can claim a GST input tax credit.

For Supply 2: If the third party is registered for GST, the third party is required to account for GST. Section [6\(3\)\(b\)](#) does not apply. If the company is carrying on a taxable activity and is GST registered, the company may claim a GST input tax credit for GST charged on the director's services.

Director's services, as employee, are contracted by employer to the company

Where a director is engaged, as part of their employment (under a contract of services), the director's engagement is specifically excluded by s [6\(3\)\(b\)](#) the office is accepted as part of their employment contract. The employer, if registered for GST, is required to charge GST on the supply of those services under s [8](#). The company receiving the director's services, can claim a GST input deduction if it carries on a taxable activity and is registered for GST.

Director engages with company directly and is employee obliged to account to employer

Where there is no contract between a company and an employer, and the employee contracts directly with a company to provide director services, the employment agreement needs to be checked. If there is an agreement that the employee is obliged to account to their employer for the director's fees received, s [6\(4\)](#) will apply. This section states that despite the exclusion under s [6\(3\)\(b\)](#) any fees paid by the company to the director are treated as consideration for the supply of services by the employer. If the employer is GST registered, the employer must account for GST on that supply. The company can claim a deduction for input tax on the deemed supply if it is registered for GST.

Director services provided by partner to company in a partnership where there is an obligation to account

If a director is a partner in a partnership and accepts the office as part of the partnership business, the director is obliged to account to the partnership for the director's fees received. In this case, s [57\(2\)\(b\)](#) applies and the partnership is deemed to supply the services. If the partnership is GST registered, it must charge GST on the supply and the company can claim a GST input tax credit if it is GST registered.

In summary, [BR Pub 23/01](#) provides that where a director accepts the position as an employee or a partner, the director does not return GST on their director's fee. The employer or partnership are to return GST.

BR Pub 23/02 – Board members' fees (not appointed by the Governor-General)

Public Binding Ruling [BR Pub 23/02](#), "Goods and Services Tax – Fees of Board Members not appointed by the Governor-General or Governor-General in Council" applies to arrangements that are the engagement, occupation or employment of a person as chairperson or member of a local authority, board, council, committee, or other body (collectively referred to in the ruling as the organisation). It covers engagement where the board member contracts directly with the organisation, and where there is an agreement between the organisation and:

- # a third party
- # the board member's employer, or
- # a partnership of which the board member is a partner.

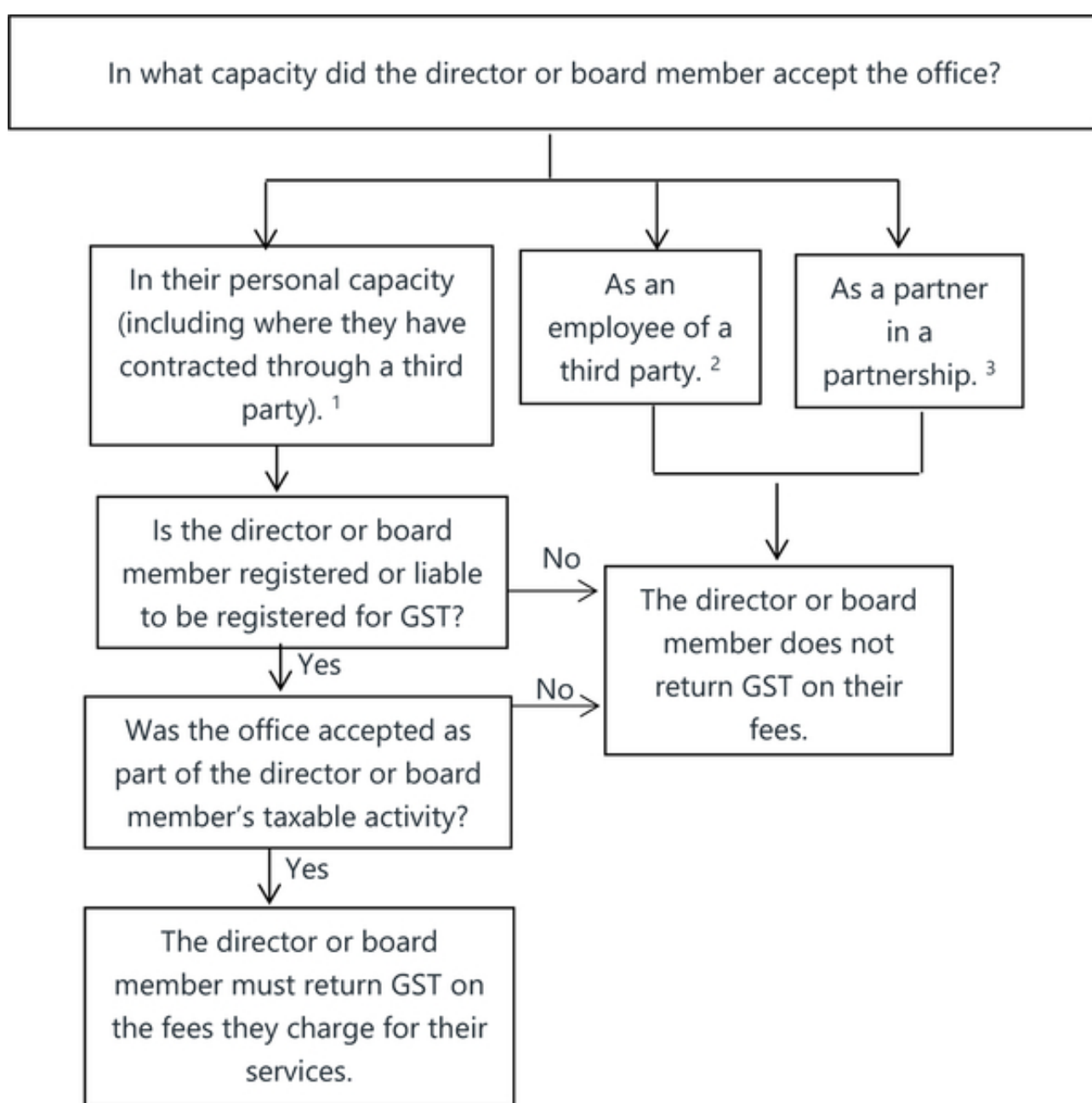
If the board member has not accepted the office in the course of carrying on a taxable activity, then the engagement is excluded from the term "taxable activity" by operation of s [6\(3\)\(c\)\(ii\)](#). In turn, the organisation cannot claim an input tax credit for any fees paid to the board member.

However, if the board member accepted the office in the course of carrying on their taxable activity, s [6\(5\)](#) will deem the services to be supplied in the course or furtherance of their taxable activity. If the board member is registered for GST, or liable to be registered, the board member is required to account for GST on the supply of those services. The organisation can then claim the GST input tax under s [20\(3\)](#) for any GST charged on those services.

Flow chart for determination of GST on board member or director fees

The flowchart below sets out when a director or board member not appointed by the Governor-General (or Governor-General in Council) needs to return GST on their fees:

Does a director or board member need to return GST on their fees?



¹ Where the director is contracted through a third party, the third party may need to return GST on the fees they receive for providing the services of the director to the company. See paras 33–36 of the Commentary.

² The employer may be required to return GST on the directors' fees where the director must account for their fees to their employer. See paras 37–41 of the Commentary.

³ The partnership may be required to return GST on the directors' fees in this situation. See paras 42–46 of the Commentary.

(Flowchart reproduced from [BR Pub 23/01 – 23/03](#))

BR Pub 23/03 – Board members' fees (persons appointed by the Governor-General)

Public Binding Ruling [BR Pub 23/03](#), "Goods and Services Tax – Fees of Board Members appointed by the Governor-General or Governor-General in Council" was issued by IR and states that if a person is appointed

as a Chairperson, or board member of a local authority, board, council, committee or other body (referred to as the Organisation in the ruling) by the Governor-General, the board member's engagement is excluded from the term taxable activity under s [6\(3\)\(c\)\(iia\)](#). The result is that even if the Organisation is registered for GST, an input tax credit cannot be claimed.

If the board member is appointed by the Governor-General, or Governor-General in Council, where:

- # the board member is an employee who is required to account to the employer for the board member fees, and
- # there is no contract between the employer and the Organisation

then:

- # the board member's engagement is excluded under s [6\(3\)\(c\)\(iia\)](#) and [6\(5\)](#) does not apply to these services.
- # s [6\(4\)](#) does not apply to s [6\(3\)\(c\)\(iia\)](#) either
- # the organisation is unable to claim a GST input tax credit.

In contrast, where the board member is a partner in a partnership and is obliged to account to the partnership for board member fees received, the board member's services are deemed to be supplied by the partnership under s [57\(2\)\(b\)](#). In this case, if the partnership is registered for GST, or liable to register for GST, the partnership must account for GST output tax on the supply of the board member's services. The organisation can claim a GST input deduction for the GST on the board member services as s [57\(2\)\(b\)](#) operates to similar effect to s [6\(4\)](#). According to the ruling, s [6\(3\)\(c\)\(iia\)](#) does not apply to the partnership's provision of board member services because the partnership is not engaged to provide the services.

Provision of directors' services through a personal services company

QWBA [QB 23/07](#), "GST – Directors and board members providing their services through a personal services company" considers the GST treatment of services rendered by a director or board member who provides their services through a personal services company. The question posed was if a director provides their services through a personal services company will the company be able to register for GST when the director would not be able to register if they were providing their services in their capacity as a natural person? The item concludes that, yes, a personal services company contracted to supply such services can be registered for GST, despite a person being disallowed to where such a natural person rendered the same services without the envelope of the corporate structure. The answer is based on the fact that those supplies of directorship services are not excluded from the definition of "taxable activity" by s [6\(3\)\(b\)](#) (or s [6\(3\)\(c\)\(iii\)](#) for board members). IR views the provision of director services by a personal services company to differ from the provision of director services by a natural person. This is because the personal services company is supplying the services of a person to the company to fulfil the director role, and this type of supply is not excluded by the sections above.

The situation is less certain when the director contracts directly with the company to be a director but where the director is obliged to account for the directorship fees to the personal services company because the personal services company is the employer of the director. In cases like this, where the director personally enters the contracts directly with companies, s [6\(3\)\(b\)](#) will exclude each office held from the definition of "taxable activity" which will result in the director not having a taxable activity relating to their services as a director. Where the director is an employee of their personal services company and is obliged to account to for fees received from the directorships under the employment contract, s [6\(4\)](#) applies. This means the accounting of fees to the employer is treated as consideration for a supply of services by the employer to the company that made the payment to the director. Section [6\(4\)](#) deems the employee's payment to the personal services company as consideration for the supply of services to the company. The uncertainty lies in how a court would apply the law and whether application of s [6\(4\)](#) would result in an interpretation that the personal services company is supplying the services of the director but without the formal contractual relationship between the 2 companies. The alternative proposition would be that the personal services company would not charge GST and the company would not take an input tax deduction. The Commissioner

states in the item that they will be satisfied, on balance of probabilities, that the personal services company can registered for GST as long as the personal services company can prove that the supply of director services is carried on continuously and regularly as required by s [6\(1\)](#). See [QB 23/07](#) for more detail.

Law: GST s [6\(3\)\(b\)](#), [\(4\)](#), [\(5\)](#)

Last reviewed on 31 December 2025

GST and electronic marketplaces [¶32-640]

[¶32-640]

[Click to open document in a browser](#)

The GST electronic marketplace rules came into effect on 1 April 2024 and apply to “listed services”. Listed services include taxable supplies of accommodation (eg Air BnB), ride-sharing (eg Uber), beverage and food delivery services (eg Uber Eats), and other services that are closely connected with these services. The rules require electronic marketplace operators to collect and return GST on these services provided through electronic marketplaces. These activities are also referred to as the “platform economy”.

From 1 April 2024, GST-registered online marketplaces providing listed services must account for GST on their sales. The registered marketplace must collect and return 15% GST on the services. GST also applies to closely connected services, like holiday rental cleaning fees, if they are facilitated through the online marketplace and charged for over and above the rental fee.

If the supplier of the service is also GST-registered, the transaction between the supplier and the electronic marketplace will be zero-rated (s [11A\(1\)\(j\)](#)).

Example: GST-registered seller/service provider

Annemieke is GST-registered. She rents out a property on AirBnB for \$100 per night. The property is located in Whangarei and is available for short-term holiday accommodation. AirBnB adds 15% GST to the nightly rate, charging guests \$115. AirBnB includes \$115 as sales and income in their GST return. In Annemieke's GST return, she includes \$100 as sales and income (Box 5) and \$100 as a zero-rated supply (Box 6). The zero-rated supply is subtracted from sales and income resulting in \$0 total GST collected (Box 7).

Annemieke claims back GST on the purchases and expenses incurred to rent out her property as short-term accommodation.

Listed services connected to New Zealand

Listed services are deemed to be supplied in New Zealand if they are performed, provided, or received in New Zealand. The following factors are not relevant to the determination:

- # whether the electronic marketplace is a New Zealand resident or not
- # whether the underlying supplier is New Zealand resident or not
- # whether the recipient of the services is New Zealand resident or not.

QWBA, [QB 25/19](#), “GST listed services rules: When is a supply of listed services made through an electronic marketplace?” considers one of the key requirements for when the GST listed services rules apply and concludes that:

“An underlying supplier supplies listed services to a recipient ‘through’ an electronic marketplace operator when the marketplace is involved in, and facilitates, supplies between underlying suppliers and recipients. Supplies of listed services are not made through an electronic marketplace when a platform advertises on behalf of, redirects customers to the underlying suppliers’ own websites or makes its own supplies to customers.”

QWBA, [QB 25/20](#), “GST listed services rules: How do the rules apply when there is a supply of listed services and other goods or services?” explains what listed services are. The item further clarifies that when a supply includes listed services and other goods or services, standard GST principles apply to determine whether there is a single supply or multiple supplies. The listed services rules apply only to any supplies of listed services that are separate from other supplies.

Flat-rate credit scheme

The flat-rate credit scheme applies when the underlying service provider is not GST registered. This scheme requires marketplace operators to pass on a proportion of the GST collected on supplies of listed services to

underlying unregistered suppliers. The flat-rate credit scheme provides a “credit” to the underlying suppliers of the service. Most of these suppliers are expected to be unregistered because their total supplies are below the registration threshold of \$60,000. The credit is intended to recognise that these unregistered suppliers incur the final GST liability on goods and services used to make the supply of listed services.

The flat-rate credit is determined with reference to the average amount of input tax that GST-registered suppliers of listed services recovers. The scheme does not recognise GST on capital assets such as land or vehicles used to make supplies of listed services. This is because an unregistered person, that supplies listed services, would not account for output tax on the disposal of such asset.

The taxpayers who provide the underlying listed services may still voluntarily apply for GST registration and apply the standard rate of GST, if they do not want to apply the flat-rate credit scheme.

Example: GST non-registered seller/service provider

Mick is not GST registered and he provides driving services in Auckland on Uber. Uber charges a customer a fare of \$30 for Mick's services. The platform adds 15% GST to this fare, charging the customer a total of \$34.50. Because Mick is not GST registered, the GST amount of \$4.50 is accounted for in the following way:

- # \$1.95 (6.5% GST) is returned to IR, and
- # \$2.55 (8.5% GST) is passed on to Mick.

Mick will receive a monthly statement from Uber confirming the flat-rate credits they have passed on to him.

Flat-rate credit receipts are non-taxable receipts. In turn, expenses incurred in deriving listed services income through an electronic marketplace are tax deductible on a GST exclusive basis (s [DB 2\(2B\)](#)). From 1 April 2024, the taxpayer may either treat the flat-rate credit as excluded income (s [CX 1B](#)) or treat it as assessable income (s CH 5B), see [¶10-113](#).

Listing intermediaries and the flat-rate credit scheme

A common arrangement is where an intermediary, like a property manager, manages a rental property for the owner, and the intermediary engages the electronic marketplace to advertise the property on the platform. The contract is entered into in the name of the intermediary. The electronic marketplace will advertise the GST-inclusive price of the service and pass the entire amount to the intermediary. The transaction between the electronic marketplace and the intermediary is a zero-rated supply. If the underlying owner is GST registered, the supply between the owner and the intermediary is also zero-rated. The flat-rate credit scheme is operated by the intermediary if the owner of the property is not GST registered. The 8.5% tax credit is passed from the property manager to the owner of the property in this case.

Optional accounting rule for taxable accommodation

From 1 April 2024, s [19DB](#) provides a registered person, who may be an operator of an electronic marketplace, a listing intermediary, or the underlying supplier (depending on the circumstances) may choose to account for output tax (and/or input tax for the flat-rate credit) in or before the taxable period that includes the date that is 7 days after the performance of the services is completed. In practice, the “date that is 7 days after the performance of the services is completed” would be the date that is 7 days after guest check-out occurred. The accounting rule in s [19DB](#) is optional to apply for any given supply covered by the section, meaning the registered person could choose to apply the rule to some supplies of taxable accommodation made through an electronic marketplace but would not have to apply it to all such supplies. The person does not need to notify IR of their choice to apply the rule, but they must keep evidence of the choice for a minimum of 7 years in accordance with the record-keeping rules in the GST Act.

If a person chooses to apply the optional rule, output tax on the supply is attributed to the taxable period in which the person chooses to account for it (s [20\(4\)\(e\)](#)). This taxable period must not be later than the taxable period that includes the date that is 7 days after the performance of the services is completed. If the person is liable for both output tax on a supply and to meet requirements relating to the flat-rate credit for the supply,

they must account for output tax and take an input tax deduction for the flat-rate credit on the supply in the same taxable period.

See *Tax Information Bulletin* [¶375-102](#) Vol 37, No 5, June 2025 at 84 for detailed commentary and Examples 37-41.

Opting out

Some underlying suppliers may opt out of the electronic marketplace rules. The result is that these underlying suppliers continue to be responsible for accounting for GST on supplies of listed services.

Those underlying suppliers who contract with a large-scale marketplace, like Air BnB, can opt out provide they meet the following criteria:

- # it is agreed between marketplace operator and underlying suppliers who choose to opt-out of the rules, or
- # underlying suppliers with more significant operations can unilaterally opt-out of the marketplace rules by notifying the marketplace operator. By opting out, they remain responsible for their own GST obligations in respect of supplies they make through electronic marketplaces.

To qualify the underlying provider of services must:

- # make more than \$500,000 of supplies in a 12-month period (eg significant operations like hotel chains), or
- # provide accommodation and meet a 2,000-night threshold, based on the number of nights of accommodation listed through a single online marketplace.

Accommodation providers must enter into an agreement with their marketplace operator to opt out of the rules if they meet the criteria above. Note that the 2,000-night threshold can be applied on a group basis. However, it is not permitted to aggregate accommodation nights across multiple online marketplaces.

Opting out option for hostels and motels – DET 25/01

Determination [DET ¶25/01](#), “GST on supplies through electronic marketplaces - hostel and motel opt-out agreement criteria” applies to hostels and motels that:

- # were registered for GST on or before 1 April 2024 and exceed the GST registration threshold (making supplies of more than \$60,000 for the last 12 months or expecting to make supplies of more than \$60,000 for the next 12 months), and
- # make supplies both through an electronic marketplace and directly to recipients of accommodation services.

These hostels and motels would otherwise be unable to opt-out of the electronic marketplace rules as they do not satisfy the statutory opt-out thresholds (ie they make taxable supplies of \$500,000 or less in a 12-month period and do not have 2,000 nights of accommodation listed as available on one electronic marketplace for a 12-month period).

This determination is made under s [60C\(2BC\)](#) of the GST Act and applies for the taxable periods starting on or after 1 April 2025 and ending on or before 31 March 2028.

This determination replaced [DET 24/02, “GST on accommodation supplied through electronic marketplaces – opt-out agreement criteria”](#).

Commissions

An electronic marketplace may charge a fee to the underlying supplier for listing the services on their platform. These may be described as a service fee, commission or facilitation fee. The standard GST rules apply to the electronic marketplace’s supply of facilitation services irrespective of whether the supplier is GST registered or not. A GST registered supplier- can claim an input tax deduction on the fee.

Law: GST ss [2](#) ("[electronic marketplace](#)"), [8](#), [8C](#), [10](#), [11A\(1\)\(j\)](#), [19DB](#), [20\(4\)\(e\)](#), [60C](#)

Last reviewed on 31 December 2025

GST and entertainment expenditure [¶32-645]

[¶32-645]

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A taxpayer is limited to claiming an income tax deduction of only 50% of certain entertainment expenditure (subpart [DD](#) of the IT07).

Section [21I\(4\)](#) of the GST Act provides for the GST implications of the disallowed (50%) component of the expenditure. Under s [21I\(4\)](#), the taxpayer is deemed to make a supply of the disallowed component. This usually requires the taxpayer to account for output tax on the deemed supply. The following rules apply:

- # The supply of the 50% disallowed expenditure is deemed to take place only if the entertainment expenditure is incurred "in the course or furtherance of a taxable activity".
- # Expenditure does not include the payment to an employee of an entertainment allowance or a reimbursement payment that is exempt income under s [CW 17](#), [CW 17B](#), [CW 17C](#) or [CW 18](#) of the IT07. Again, there is no output tax impost here (s [21I\(5\)](#)).
- # The supply is deemed to occur at the earlier of the date on which the income tax return is due or is filed. The liability to account for output tax arises at that time. The adjustment is made in the GST return for the period covering the earlier of:
 - # the date on which the tax return for the relevant tax year is filed, or
 - # the date by which the tax return for the relevant tax year must be filed under an extension of time arrangement, ie 31 March of the following tax year for taxpayers registered with a tax agent.
- # The output tax impost is 3/23 of expenditure disallowed for income tax purposes.

The GST adjustment does not give rise to an income tax deduction (s [DB 2\(3\)](#) of the IT07 and [¶10-497](#)).

Law: GST s [21I\(4\)](#), [\(5\)](#)

Last reviewed on 31 December 2025

GST and facilitation fees charged by inbound tour operators [¶32-647]

[¶32-647]

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Subsections [8\(2B\)](#), [\(2C\)](#), [\(2D\)](#), [\(2E\)](#) and [\(2F\)](#) clarify that the facilitation fee charged by inbound tour operators is liable for GST at the standard rate. The facilitation fee is for services that a registered person provides to package one or more domestic tourism products and services in New Zealand and sell them outside New Zealand to a non-resident person. The tourism products and services may include accommodation, meals, transport, and other activities. See *Tax Information Bulletin* [¶221-108 Vol 22, No 1](#), February 2010 at 31.

In Case 14/2014 [\(2014\) 26 NZTC ¶2-024](#), the TRA held that GST zero-rating did not apply to taxable supplies of advisory services to cruise lines, incentive houses and overseas travel agents. The TRA said that taxable supplies to overseas operators could be zero-rated under s [11A\(1\)\(k\)](#) of the GST Act in certain circumstances but, in this case, ss [8\(2B\)](#) and [11A\(2\)](#) applied to exclude zero-rating.

The taxpayer contended that it did not package or sell domestic tourism products to overseas operators and to the extent that it acted on behalf of the overseas operators in New Zealand it did so as their agent. The taxpayer further contended that, in providing the advisory services to the overseas operators, it did so for the benefit of those operators. The benefit of the advisory services was not received in New Zealand by any other person.

The TRA dismissed the taxpayer's contentions. It held there was no evidence of any agency relationship and the advisory services provided by the taxpayer consisted of the facilitation of inbound tour operations for s [8\(2B\)](#). The TRA also held that the performance of the domestic products and services provided by the taxpayer were received in New Zealand by the non-resident tourists. There was insufficient economic distinction between the advisory services and the supply of the domestic tourism products and services; they were integral, ancillary and/or incidental to the supply of the domestic tourism products. The TRA's decision was upheld on appeal to the High Court (*ID Tours New Zealand Ltd v C of IR* [\(2015\) 27 NZTC ¶22-001](#)).

Law: GST s [8\(2B\)](#)–[\(2F\)](#)

Last reviewed on 31 December 2025

GST and finance leases [¶32-648]

[¶32-648]

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Interpretation statement [IS 22/02](#), “GST and finance leases” explains how to classify finance leases for the time of supply and value of supply rules under the GST Act. The statement also explains how to account for GST on a finance lease when applying any special time and value of supplies.

Note: For taxable periods beginning on or after 1 April 2023, “tax invoice” includes taxable supply information.

A finance lease is not defined for GST purposes. A “finance lease”, in general commercial terms, is a lease of an asset for a fixed term when the amounts payable by the lessee relate to the value of the leased goods, and not the value of their use to the lessee. The terms of a finance lease can differ and therefore analysis of a specific finance lease is required to determine the application of the GST rules. Classification of the agreement takes place at the time the agreement is entered into.

Time of supply

As discussed in [¶32-026](#), the general time of supply rule is modified for certain supplies. In order to apply the correct time of supply rules, a finance lease needs to be correctly classified. A finance lease will fall into one of the following categories:

- # Agreement to hire: goods are treated as being as being successive supplies and each supply is treated as taking place at the earlier of when payment is due, or when payment is received.
- # Hire purchase agreement: time of supply is when the agreement is entered into by the parties.
- # Third category agreement: the agreement is neither an agreement to hire nor a hire purchase agreement. In these cases, the general time of supply rules apply. Therefore, the time of supply is the earlier of the time the supplier issues an invoice or receives payment for the supply.

Hire purchase agreement defined

A “hire purchase agreement” is defined in s [YA1](#) as an agreement:

- # under which goods are let or hired with an option or purchase, or
- # for the purchase of goods by instalment payments; however the agreement describes the payments under which the person who agrees to purchase the goods is given possession of them before the total amount payable has been paid.

The definition has a number of paragraphs defining a hire purchase agreement so it is important to compare the agreement against the entire definition. The definition expressly excludes an agreement “made otherwise than at retail”. [IS 22/02](#) discussed what is meant by this phrase. This is important because a finance lease can be a hire purchase agreement only if it is made at retail. If the agreement is not made at retail, it cannot be a hire purchase agreement. The term “at retail” is not defined for tax purposes. Generally, an agreement is made at retail if it is made otherwise than at wholesale (sales to person who buy to sell again) or privately.

Commonly a finance lease is an agreement for hire for GST purposes. However, the agreement will not be an agreement for hire if:

- # the lessee is the end user of the goods and the lessor give the lessee an option to purchase the asset, or
- # the title to the property passes upfront or will definitely pass under the terms of the agreement.

Flowchart 1 in [IS 22/02](#) at 3 summarises the process for classifying finance leases for time of supply.

Value of supply

Application of the value of supply rules depends on whether the finance lease is a credit contract or not. When it is a credit contract, GST is calculated on the “cash price” of the leased goods. The balance of the payments under a credit contract will usually be interest and finance charges which are classified as financial services (which are exempt from GST under ss [3\(1\)\(f\)](#) and [14\(1\)\(a\)](#), unless zero-rated under s [11A\(1\)\(q\)](#)).

When a finance lease is not a credit contract, GST is calculated on the total amount payable under the lease.

[IS 22/02](#) has detailed commentary on finance leases that are credit contracts. In short, this will depend on whether it is a credit contract under the Credit Contracts Act 1981. However, the lessor and lessee can elect to apply the definition in the Credit Contracts and Consumer Finance Act 2003 (CCCFA) to a particular arrangement if this provides a different outcome. The lease agreement and the tax invoices should reflect the agreed position.

Accounting for GST on finance leases

How a finance lease is accounted for will depend on whether it is:

- # a hire purchase agreement, an agreement to hire, or a third category agreement, and
- # a credit contract.

The table below summarises how GST relating to a finance lease is accounted for:

Category of lease	Credit contract	GST calculation	Timing
Hire purchase or third category agreement	Yes	GST is 3/23 of the cash price of the leased goods	GST payable upfront
Hire purchase or third category agreement	No	GST is 3/23 of the full consideration of the leased goods	GST payable upfront
Agreement to hire	Yes	GST is 3/23 of the cash price of the leased goods	GST spread over the term of the lease. Lessors may adopt straight line method and must return on the basis set out in the tax invoice. Lessees must adopt the method set out in the tax invoice
Agreement to hire	No	GST is 3/23 of each lease payment	GST paid on each lease payment over the term of the lease

Agency issues and on selling goods

Where a lessee sells goods as agent for the lessor, the supply is treated as being made by the lessor as they are the principal. In these cases, the lessor must account for the GST. Even if the lessee issues the tax invoice, the onus to return the GST is on the lessor. The lessee is required to notify the lessor of the sale and furnish them with sufficient information for the lessor to account for the GST correctly. An exception applies where the lessor and the lessee agree to treat the supply as 2 separate supplies.

This is a complex area of GST and the interpretation statement goes into more detail on the following points:

- # changes to the definition of “hire purchase agreement”
- # issues concerning the treatment of options to purchase
- # whether business to business leases are made “at retail”
- # uncertainty about agreement that expressly contemplate ownership passing to the lessee
- # the new definition of “credit contract” under the CCCFA, and

agency issues on selling goods at the end of the lease.

Law: GST ss [9\(3\)](#), [10\(5\)](#), [10\(5A\)](#) – [\(5C\)](#)

Last reviewed on 31 December 2025

GST and hire firm security bonds and late return charges [¶32-650]

[¶32-650]

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Hire firm security bonds

The GST implications of a customer paying a bond to a GST registered hirer of goods as security when the goods are hired are considered in QWBA, [QB 14/06](#): “GST — Hire firm security bonds”. [QB 14/06](#) concludes that the paying of the bond has no GST effect because there are no services supplied in return for the bond. If the bond is repaid in full on the return of the goods, the answer remains the same. However, where, or to the extent, the bond is forfeited because it is applied in accordance with the agreement between the parties:

- # as payment of an extra hire charge because the goods are returned late, it is consideration for a supply and is subject to GST
- # as compensation for damage to, or loss of, the goods, it is not consideration for a supply and is not subject to GST
- # for the purchase of goods or services, it is consideration for a supply and is subject to GST, or
- # for a breach of a condition (eg operating the goods in a way not permitted under the hire agreement), it is not consideration for a supply and it is not subject to GST.

Late return charges

QWBA, [QB 14/14](#), “Goods and services tax — Late return charges (including library fines and parking overstay charges)” concerns charges imposed for the late return of a borrowed item, referred to collectively as “late return charges”. The Commissioner considers the law in this area to be well settled. The principles are as set out in [QB 14/06](#) above and the interpretation statement on court awards and out-of-court settlements ([¶32-624](#)).

The item concludes that a late return charge will be subject to GST if it is consideration for a taxable supply. Whether the charge is consideration for a taxable supply will depend on whether a sufficient nexus or reciprocity exists between the charge and the supply. This will be determined from the legal arrangements entered into. In most cases, a late return charge will be subject to GST. This is because the legal arrangements between the parties will characterise the charge as additional consideration for the supply of the borrowed item. However, in some cases, the legal arrangements between the parties may characterise the late return charge as a payment of damages or a penalty for a breach of the legal arrangements. In these cases, the charge will not be subject to GST because it will not be consideration for a taxable supply.

Last reviewed on 31 December 2025

GST and imported goods [¶32-660]

[¶32-660]

[Click to open document in a browser](#)

Levied by Customs

GST is levied by the New Zealand Customs Service on goods entered or delivered for importation, or those that are imported illegally. While the tax is imposed irrespective of whether the importer is a registered person, it is not imposed on goods below the normal Customs level. From 1 December 2019, goods that have a Customs value of \$1,000 or less will not have the tax levied by Customs. This brings the Customs provisions in line with the rules for low-value imported goods (discussed below). The de minimis threshold does not apply to shipments of alcohol or tobacco products. See reg [70](#) of the Customs and Excise Regulations 1996.

GST is calculated on the total of:

- # the value of the goods under [Sch 4](#) of the Customs and Excise Act 2018
- # the amount of duty and tax (other than GST) payable under the Customs and Excise Act
- # insurance and freight costs incurred in bringing the goods to New Zealand (if not already included above), and
- # the amount of levy paid or payable on goods under the Climate Change Response Act 2002 (for goods that contain a specified synthetic greenhouse gas).

In *Adidas New Zealand Ltd v Collector of Customs (Northern Region)* ([1999](#)) [1 NZCC ¶55-001 \(CA\)](#) the Court held that royalties paid by the importer to its parent company formed part of the Customs value of the goods. This decision was applied in *Collector of Customs v Avon Cosmetics Ltd* ([2000](#)) [1 NZCC ¶55-014 \(CA\)](#). Schedule [4](#) of the Customs and Excise Act 2018 sets out a number of items that form part of the customs value of imported goods, including royalty and licence fees, commissions, brokers' fees and packing costs. Input tax for customs GST can only be claimed by a GST-registered person who is the importer and who acquires the goods for making taxable supplies.

Low-value imported goods from 1 December 2019

Offshore suppliers are required to register, collect and return GST on goods valued at or below \$1,000 supplied to consumers in New Zealand. The rules apply when the good is outside New Zealand at the time of supply and is delivered to a New Zealand address. Offshore suppliers are required to register when their total taxable supplies exceed the \$60,000 threshold. Marketplaces and redeliverers may also be required to register in certain circumstances.

Tariffs and border cost recovery charges have been removed from imported consignments valued at or below \$1,000. The current processes for collecting GST and other duty at the border by Customs continue to apply for consignments valued over \$1,000. However, processes have been put in place so Customs does not collect GST on goods in a consignment over \$1,000 if GST was already collected by the supplier.

Details of the rules are discussed below.

Change to the place of supply rules

Changes to s [8\(3\)](#) provide that distantly taxable goods supplied by a non-resident supplier are treated as being supplied in New Zealand and are therefore subject to GST.

However, supplies of distantly taxable goods by non-resident suppliers to New Zealand GST-registered recipients for their taxable activity are treated as being supplied outside New Zealand and therefore not subject to GST (s [8\(4E\)](#)). This is unless the non-resident supplier chooses otherwise for the supply of the goods and:

- # at the time of the election, the non-resident supplier reasonably expects that more than 50% of the value of the supplies made by them to persons in New Zealand during the next 12 months will be to unregistered persons, and
- # the value of the supply is not more than \$1,000 (s [8\(4F\)](#)).

Where the supplier chooses to treat the supply as made in New Zealand, the non-resident supplier will be able to claim back any New Zealand GST costs incurred in making the supplies under the special input tax deduction rules in s [20\(3L\)](#) ([132-022](#)).

Determining if recipient is registered

To determine if GST is payable, non-resident suppliers may be required to identify whether a New Zealand recipient of the supply is GST-registered. The rules for identifying GST-registered recipients of remote services also apply for identifying a GST-registered recipient of distantly taxable goods ([132-680](#)). Under these rules, the supplier is required to treat the recipient as not being a registered person unless the recipient:

- # notifies the supplier that they are a registered person, or
- # provides the supplier with their GST registration number or New Zealand business number.

GST-registered recipients of distantly taxable goods should not identify themselves as a GST-registered person or provide their GST registration number, or a New Zealand business number, if they intend to use the goods for 100% non-taxable purposes. A supplier must not treat the supply as being made to a registered person if the recipient does not meet the requirements above.

As with the rules for remote services, the Commissioner is also able to prescribe or agree with a supplier on the use of another method to determine whether the supply is made to a registered person for the purpose of carrying on the registered person's taxable activity.

GST registration threshold

Non-resident suppliers of distantly taxable goods to New Zealand customers are required to register and charge GST if their total value of supplies made to New Zealand consumers exceeds \$60,000 in a 12-month period. Non-resident suppliers can use a fair and reasonable method of converting foreign currency amounts to New Zealand dollars to determine whether the registration threshold has been exceeded. As distantly taxable goods supplied by a non-resident to New Zealand GST-registered businesses are generally treated as not being supplied in New Zealand (and therefore not subject to GST), these supplies do not count towards the registration threshold. However, if the supplier decides that these supplies are made in New Zealand, these supplies will count towards the threshold.

Distantly taxable goods

Thus, supplies of distantly taxable goods to New Zealand unregistered consumers by GST-registered non-resident suppliers are subject to GST. "Distantly taxable goods" are defined as items of goods that:

- # are moveable personal property (other than choses in action)
- # are not alcoholic beverages or tobacco or tobacco products
- # are supplied by:
 - # a non-resident, and the goods are outside New Zealand at the time of supply, or
 - # the operator of a marketplace, and the underlying supplier is a non-resident, or
 - # a redeliverer (see below)
- # are delivered at a place in New Zealand and the supplier or an underlying supplier makes, or arranges, or assists, the delivery, and
- # each have an estimated customs value less than the \$1,000 entry value threshold (see below), or the supplier has an effective election in place in relation to goods valued over the threshold (see below).

If distantly taxable goods are part of a supply that also includes other goods, the distantly taxable goods are treated as a separate supply from the other goods.

For example, in some cases, a single transaction will involve one or more goods that each have an estimated customs value of \$1,000 or less (low-value goods) and, at the same time, one or more other goods that each have an estimated customs value exceeding \$1,000 (high-value goods). If the supplier has not made an election to treat high-value goods as distantly taxable goods, s [4B\(2\)](#) splits such transactions into 2 separate supplies:

- # a supply of distantly taxable goods, consisting of all the low-value goods, except for alcoholic beverages, tobacco and tobacco products, and
- # a second supply consisting of the remaining goods supplied in the transaction.

However, if the supplier has elected to treat its supplies of high-value goods as distantly taxable goods, the provision only applies to split a single supply of goods into 2 separate supplies if some of the goods supplied do not meet the definition of “distantly taxable goods” because they are in New Zealand at the time of supply, or because they are alcoholic beverages, tobacco or tobacco products.

Consideration for the supply

The value of a supply of distantly taxable goods for determining the amount of GST payable is generally determined under s [10\(2\)](#) and [10\(7E\)](#). Under s [10\(2\)\(a\)](#), the value of a supply of distantly taxable goods (with the addition of GST) is generally the amount of consideration in money for the supply.

Section [10\(7E\)](#) also ensures the amount of consideration for a supply of distantly taxable goods that is included in a supply of services includes the consideration for services (the related services) that relate to the distantly taxable goods (such as delivery and associated insurance) if:

- # the consideration for the supply of the related services is determined by reference to the items included in the supply of distantly taxable goods
- # the supplier or underlying supplier of the distantly taxable goods makes, arranges or facilitates the supply of services
- # the supply of related services is directly in connection with the distantly taxable goods or is of insurance of the goods
- # the supply of related services would otherwise be zero-rated, and
- # the supply of related services and the supply of distantly taxable goods do not form a single supply.

This ensures that where there is a separate zero-rated supply of services that would generally form part of the supply of the distantly taxable goods because they were ancillary, integral or incidental to the supply of the goods, the consideration for the separate supply of those services is also included. See example in *Tax Information Bulletin* [1318-102 Vol 31, No 8](#), September 2019 at 13 for the application of s [10\(7E\)](#).

Estimated customs value

The entry value threshold is defined as \$1,000. To fall within the definition of “distantly taxable goods”, the estimated customs value of the goods must be below this threshold. The estimated customs value of an item of goods is determined under s [10B](#) as the consideration for the item (as discussed above) reduced by the total amount included in that consideration for:

- # the cost of transport and insurance charges—
- # for goods that are imported into New Zealand, for the period from when the item leaves the country from which it is supplied to when it is delivered in New Zealand
- # for goods that are already in New Zealand, for the period from when the item leaves its place of origin to when it is delivered in New Zealand
- # the amount of GST that would be charged under s [8](#) if the supplier was a resident, and
- # duty payable under the Customs and Excise Act 2018.

Note that a supplier can use a reasonable estimate of these costs based on the information available to them at the time of supply.

Options to charge GST on certain supplies of high-value goods (s 10C)

Suppliers (including redeliverers and operators of marketplaces) can treat their high-value goods (other than alcohol and tobacco) as distantly taxable goods, and therefore charge GST at the rate of 15% on their supply, if they have an effective election in place and the goods are delivered to a place in New Zealand. The election is available to suppliers satisfying a self-assessed 75% test or those for whom the Commissioner exercises their discretion.

Self-assessed 75% test

Under the self-assessed test, suppliers of distantly taxable goods may elect to treat imported goods (other than tobacco and alcohol) valued above \$1,000 as distantly taxable goods if the electing supplier considers that at least 75% of the total value of distantly taxable goods that will be supplied to New Zealand consumers in the 12 months from the first day of the taxable period beginning after the election will consist of goods that are individually valued at \$1,000 or less. The election will continue to be effective for subsequent taxable periods beginning before the election is cancelled. For a worked example, see *Tax Information Bulletin* [1318-102 Vol 31, No 8](#), September 2019 at 48.

Commissioner's discretion

Alternatively, if a supplier makes an election but does not satisfy the 75% test, they may still charge GST on their supplies of high-value goods to consumers if the Commissioner considers that giving effect to the election will not result in a risk to the integrity of the tax system. When deciding whether to exercise their discretion, the Commissioner will take the following factors into account:

- # whether the electing supplier and any associated persons have a good history of previous compliance with New Zealand tax legislation and the tax laws of countries and territories outside New Zealand
- # the total value of high-value goods supplied by the electing supplier to New Zealand consumers, and
- # any other factors the Commissioner considers relevant.

Cancellation of election

If an electing supplier requests the election be cancelled, the Commissioner may cancel the election by notifying the supplier of the date on which the election ends. In the situation where the Commissioner unilaterally decides to cancel an election by a supplier (in cases of non-compliance by the supplier), the Commissioner will:

- # notify the electing supplier of the date of the proposed cancellation and the reasons for the proposed cancellation
- # consider any arguments against the proposed cancellation provided by the electing supplier within 30 days from the date of notification, or within a shorter or longer period if the Commissioner considers that period is appropriate in the circumstances, and
- # notify the supplier of the date on which the election is cancelled.

Taxable supply information

The meaning of "taxable supply information" differs for different value thresholds of domestic taxable supplies. These thresholds do not apply for distantly taxable supplies. For low value goods, the non-resident supplier needs to register for GST. For imported goods over the \$1,000 (excl GST) threshold, GST and customs duties are charged at the border.

A non-resident supplier is required to provide a taxable supply information in relation to supplies of distantly taxable goods at a price that includes GST. This requirement differs as previously a non-resident supplier was not required to provide a tax invoice or taxable supply information. They were however required to provide a receipt before 1 April 2023. If a supplier fails to provide taxable supply information, the recipient may request one and the information must be supplied within 10 working days of the request.

The following information is required when importing goods:

Type of information	Required details
Seller's details	Name and address
Buyer's details	Name and address
Date	Date of supply or invoice if one issued
Information on the goods	Full description of goods imported to New Zealand
Payment information	Consideration for the goods (purchase price)

See [132-460](#) for the information required to record an imported supply of goods received by a GST-registered person.

Input tax deductions

A recipient is not able to claim an input tax deduction for a supply of distantly taxable goods unless the recipient has obtained taxable supply information under s [19G](#).

However, the recipient will not be denied an input tax deduction when the supply is treated as being made in New Zealand by the recipient of the supply if the recipient has accounted for the output tax charged on the supply.

Public ruling [BR Pub 22/07](#), "GST – Importers and input tax deductions" which states that a GST-registered person who accounts for GST on an invoice basis may use any one of the following documents issued by Customs as an invoice to support a claim for a GST input tax deduction under s [20\(3\)\(a\)\(ii\)](#):

- # an electronic import entry once the entry has been passed
- # a Deferred Payment Statement issued to an importer
- # a cash statement, or
- # manual invoice or statement.

Incorrect GST treatment

When a GST-registered recipient is incorrectly charged GST, a non-resident supplier may make an output tax adjustment in the return when it is apparent that a mistake has been made.

A non-resident supplier has the option to issue taxable supply information under s [19K\(9\)](#) when the recipient has been incorrectly charged GST, but only when the value of the supply is \$1,000 or less.

When a supply of distantly taxable goods is incorrectly taxed, and the supplier opts to issue taxable supply information, the information must meet the minimum requirements set out in s [19N\(5\)](#). The provision of taxable supply information allows the GST-registered recipient to claim the incorrectly charged GST to the extent to which the recipient uses the goods, or the goods are available for use, in making taxable supplies.

When a non-resident supplier opts to provide taxable supply information:

- # the supplier must not make an adjustment under s [25](#) to correct the amount of GST shown on the taxable supply information, and
- # the supplier and recipient will be deemed to have agreed that the supply is made in New Zealand and so is subject to GST.

The following flow diagram illustrates how the above rules apply:



Reverse charge for GST-registered recipients

An amendment to the existing reverse charge under s 8(4B) (132-400) requires GST-registered recipients of supplies of distantly taxable goods (that are treated by s 8(4E) as not being supplies in New Zealand) to return output tax on the supply if the percentage intended or actual use of the goods is less than 95% of the total use. The amendment also extends the reverse charge to business-to-business supplies of goods that are in New Zealand at the time of supply (that are treated by s 8(4) as not being supplies in New Zealand).

Following the initial enactment of the provisions, it was retrospectively clarified that the reverse charge only applies when the goods are imported by the recipient in a consignment with a total value of \$1,000 or less and the recipient does not pay GST to Customs or the supplier of the goods. An optional savings provision existed for taxpayers who took an inconsistent tax position in the period from 1 December 2019 to 22 March 2020.

An exception to the prohibition on input tax deductions in s 20(4C) allows a recipient of distantly taxable goods, required to return output tax under the reverse charge, to make an input tax deduction to the extent the goods are used for, or available for use in, making taxable supplies (s 20(4D)).

Example: reverse charge

Melissa is a self-employed project manager who is registered for GST. She purchases a phone from a non-resident supplier for NZ \$400. At the time of purchase, she identifies herself as a GST-registered person and therefore is not charged GST. She uses the phone 50% for her taxable project management services and 50% for private use.

Under the reverse charge, Melissa is treated as making a taxable supply to herself of NZ\$400 at the 15% rate. She must return output tax of NZ\$60 ($\text{NZ\$400} \times 15\%$). However, Melissa can claim an input tax deduction for the portion of her total use of the phone that is for taxable purposes (50%). The amount of the input tax deduction is NZ\$30 ($\text{NZ\$60 of GST} \times 50\%$). Her net position in the relevant return (assuming no other supplies) is therefore an output tax liability of NZ\$30 ($\text{NZ\$60 output tax minus NZ\$30 input tax}$).

If Melissa's taxable use of the phone had been 95% or more, she would not have been required to apply the reverse charge.

Example adapted from *Tax Information Bulletin* 1318-102 Vol 31, No 8, September 2019 at 42–43

Reverse charge applied and GST also incorrectly charged

There may be instances when a GST-registered recipient applies the reverse charge and the non-resident supplier also incorrectly charges the recipient GST. In this situation, GST would be returned twice on a single supply (by the non-resident supplier and the GST-registered recipient). This issue will likely be resolved if the non-resident supplier subsequently refunds the GST charged to the GST-registered recipient and makes an adjustment under s 25 (note that an adjustment may still be necessary under s 25AA(1)(a)(iii) to ensure the correct amount of tax is accounted for under the reverse charge in s 8(4B)).

To ensure the correct amount of tax is paid in the alternative scenario where the supplier provides taxable supply information, s 25AA allows the GST-registered recipient to correct the amount of output tax returned and input tax deductions claimed. The recipient can then claim, in the normal manner, a deduction for the portion of the GST that was charged by the non-resident supplier, to the extent that the goods are used for, or available for use in, making taxable supplies.

Example: supplier incorrectly charges GST on supply to a registered person and recipient applies the reverse charge

Consider the previous example, where Melissa has applied the reverse charge under s 8(4B). However, she subsequently finds out that the price for the phone included GST at the standard rate of 15% ($3/23 \times \text{NZ\$400} = \text{NZ\$52.17}$).

Melissa contacts the non-resident supplier and requests a refund for the incorrectly charged GST. Instead of providing a refund, the supplier issues Melissa with a full tax invoice (taxable supply information) since the value of the supply is NZ\$1,000 or less.

The tax invoice (taxable supply information) enables Melissa to claim an input tax deduction to the extent the phone is used for, or available for use in, making taxable supplies, which means she can deduct NZ\$26.09. The non-resident supplier is also not required to make any adjustments under s 25.

Under s 25AA(1)(a)(v), Melissa makes an adjustment in the return for the taxable period in which it is discovered that a mistake has been made to correct the amount of output tax and input tax deductions claimed as a result of applying the reverse charge in s 8(4B). Melissa claims a deduction under s 20(3) for the output tax that she accounted for ($\text{NZ\$60} - \text{s 25AA(2)}$) and returns output tax for the input tax deduction she claimed earlier ($\text{NZ\$30} - \text{s 25AA(3)}$).

Example taken from *Tax Information Bulletin* [¶318-102 Vol 31, No 8](#), September 2019 at 43

Preventing double taxation

Under the rules, Customs continues to collect GST on imported consignments valued over \$1,000. However, a consignment valued over \$1,000 may contain distantly taxable goods on which GST has already been collected by the supplier. For consignments over \$1,000, Customs will not collect GST on the distantly taxable goods in the consignment if documentation is provided to Customs showing that GST has already been collected by the supplier.

If GST has been collected on the same good by both Customs and the supplier, the supplier is required to refund the GST they collected to the consumer, but only if the consumer requests a refund and provides a declaration or other confirmation that GST was collected by Customs on the importation of the item. A supplier that provides a GST refund in this situation is entitled to make an adjustment in its GST return to correct its net GST position (provided it has reimbursed the recipient for the GST charged and has received a declaration from the recipient or other confirmation that GST was paid to Customs on the importation of the goods). These rules also apply in the situation where a supplier has incorrectly charged GST on an imported good valued over \$1,000.

A non-double taxation rule also deals with the situation where a supplier of distantly taxable goods to an unregistered person in New Zealand is required by legislation in another jurisdiction to charge that jurisdiction's consumption tax on the supply at a rate of more than zero. In this situation, the supplier is entitled to make a deduction that offsets the amount of New Zealand GST payable on the supply to the extent the supply is subject to a consumption tax in another jurisdiction (s [20\(3\)\(dd\)](#)).

Section [20\(3\)\(df\)](#) applies when a supply of distantly taxable goods to which s [8\(1\)](#) applies is taxed twice, first at the point of sale and again when the goods are imported into New Zealand. The new rule does not apply in the scenario when the supplier incorrectly collected GST, resulting in imported goods being taxed twice because the rules currently in s [25](#) already deal with that scenario. See *Tax Information Bulletin* [¶375-102 Vol 37, No 5](#), June 2025 at 102.

Electronic marketplaces

Special rules apply when distantly taxable goods (other than alcohol and tobacco) are supplied through an electronic marketplace to a New Zealand-resident consumer. The rules require the operator of the marketplace, as opposed to the underlying supplier, to register and return GST (s [60C](#)).

Definition of “electronic marketplace”

The definition of “electronic marketplace” is:

- # a marketplace that is operated by electronic means through which a person (the underlying supplier) makes a supply of goods or of remote services by electronic means through another person (the operator of the marketplace) to a third person (the recipient), and
- # includes a website, internet portal, gateway, store, distribution platform, or other similar marketplace, and
- # does not include a marketplace that solely processes payments.

The definition is not intended to include “click-through entities” (entities where the ultimate purchaser can click-through a link on their webpage to the supplier).

Operator of electronic marketplace

The rules apply when a supply of goods is made through an operator of an electronic marketplace to a person involving delivery at a place in New Zealand. The operator of the marketplace is treated as making the supply of distantly taxable goods in the course or furtherance of their taxable activity when:

- # the underlying supplier of the goods is a non-resident

- # the marketplace operator or underlying supplier makes, arranges or assists the delivery of the goods to the recipient at a place in New Zealand, and
- # the goods have individual estimated customs values of \$1,000 or less (or the marketplace operator has elected to charge GST on high-value goods (see above)).

However, the operator is not treated as making the supply if:

- # the documentation provided to the recipient identifies the supply as made by the underlying supplier and not the marketplace
- # the underlying supplier and the marketplace operator have agreed that the supplier is liable for the payment of tax, and
- # the marketplace does not:
 - # authorise the charge to the recipient
 - # make or authorise the delivery of the supply to the recipient, or
 - # directly or indirectly set a term or condition under which the supply is made.

Where the operator is treated as making the supply, the operator is responsible for returning GST. They include these supplies in their turnover for the purpose of determining whether the registration threshold is exceeded and, if it is exceeded, are liable for the GST.

If, in relation to a single supply of goods, more than one operator of an electronic marketplace is liable for tax on the supply, the first operator that authorises a charge or receives consideration for the supply is treated as making the supply. If no operator exists that meets this requirement, the first operator that authorises delivery of the supply is treated as making the supply.

Example: zero-rated supply of distantly taxable goods from underlying supplier to marketplace operator

Page Turners, a US-based book seller that is registered for GST in New Zealand, uses Books Marketplace, an electronic marketplace, to advertise and sell its books to customers in New Zealand. Books Marketplace sets some terms and conditions and collects payments from customers.

Books Marketplace is treated as the supplier under s 60C and is therefore responsible for GST on the supply. If, as a result of s 60C, Books Marketplace makes supplies that exceed the registration threshold, it will be required to register and return GST on supplies of goods that are made through its marketplace to customers with a delivery address in New Zealand.

Even though Books Marketplace is treated as the supplier, under s 60(1C) Page Turners can treat its supply as a zero-rated supply to Books Marketplace (as a separate supply to the supply that Books Marketplace is treated as making). This will allow Page Turners to deduct its GST costs incurred in making supplies of books through Books Marketplace.

Example taken from *Tax Information Bulletin* [1318-102 Vol 31, No 8](#), September 2019 at 24

Approved marketplaces

Section 60D allows non-electronic marketplaces to register and return GST. Under the provision, the supply of distantly taxable goods by a non-resident through a non-electronic marketplace to a person involving delivery to a place in New Zealand may be treated as a supply by the operator, not the underlying supplier, if the Commissioner agrees and:

- # the underlying supplier of the goods is a non-resident
- # the marketplace operator or underlying supplier makes, arranges or assists the delivery of the goods to the recipient at a place in New Zealand, and
- # the goods have individual estimated customs values of \$1,000 or less (or the marketplace operator has elected to charge GST on high-value goods (see above)).

The operator must apply to the Commissioner and the Commissioner may take the following into account in exercising their discretion:

- # whether the marketplace is best placed to determine whether the recipient of the supply of goods:
 - # is resident in New Zealand, or
 - # is a registered person

whether the number of underlying suppliers to the marketplace means that return requirements are better satisfied by the marketplace rather than the individual underlying suppliers.

Specific rules for underlying suppliers

Two separate supplies

When an underlying supplier makes supplies of goods through a marketplace, the underlying supplier and marketplace operator may treat the supply as 2 separate supplies:

- # a supply of goods from the underlying supplier to the operator, and
- # a supply of those goods from the operator of the marketplace to the recipient.

The supply to the marketplace operator is zero-rated under s [11\(1\)\(b\)](#). This will generally allow the underlying supplier to claim input tax deductions for GST on expenses incurred in making the supply.

Exception for underlying suppliers with New Zealand branch

A limited exception to the electronic marketplace rule is provided in s [60C\(2C\)](#) to deal with a potential situation in relation to a non-resident company that has a New Zealand branch and that makes supplies of goods to consumers in New Zealand through a marketplace. The provision provides that a marketplace operator is not treated as the supplier of distantly taxable goods that are actually supplied by a non-resident underlying supplier if all the following conditions are met:

- # the underlying supplier of the goods is a non-resident that has a branch in New Zealand
- # the marketplace operator treats the underlying supplier as a New Zealand resident in relation to the supply (meaning that the operator does not return GST on the supply), and
- # in treating the underlying supplier as a New Zealand resident, the operator of the marketplace relies on a method for determining the underlying supplier's residency that is set out in s [60G](#) (discussed below).

This ensures the liability for the GST remains with the underlying supplier in this situation, validating the marketplace operator's treatment of the supply if it has determined (based on a s [60G](#) method) that it is not the supplier of the goods for GST purposes.

Example: non-resident underlying supplier with New Zealand branch treated by marketplace as resident

Clothes 'N' Stuff Pty Ltd is an Australian-incorporated company that is non-resident for income tax purposes. It sells goods in New Zealand through its retail outlet in Auckland. Because it has a retail outlet in Auckland through which it carries on a taxable activity, Clothes 'N' Stuff is treated as a New Zealand resident for GST purposes to the extent of the activity carried on through the Auckland retail outlet and accordingly is registered for GST in New Zealand.

Clothes 'N' Stuff also sells goods to customers in Australia and New Zealand through the A Co online marketplace. In most cases the goods are shipped directly from a warehouse in Sydney, but in some cases goods sold to a New Zealand customer may instead be sourced from the retail outlet in Auckland in order to provide faster delivery times.

A Co has on record a New Zealand GST registration number for Clothes 'N' Stuff, as well as the physical address of the Auckland retail outlet and the fixed landline number for the Auckland retail outlet. On the basis of the information that it holds and in accordance with the requirements in s [60G](#), A Co determines that Clothes 'N' Stuff is a New Zealand resident for GST purposes. A Co therefore does not collect and return GST on Clothes 'N' Stuff's supplies to consumers in New Zealand.

Although Clothes 'N' Stuff is likely to be a non-resident in relation to most of the supplies it makes through the A Co marketplace (insofar as this sales activity is unrelated to the Auckland retail outlet), the liability for New Zealand GST on any supplies of distantly taxable goods to consumers in New Zealand would remain with Clothes 'N' Stuff. This is because s [60C](#) would not apply to treat A Co as the supplier of the goods (owing to the exception in s [60C\(2C\)](#)).

Example taken from *Tax Information Bulletin* [1318-102 Vol 31, No 8](#), September 2019 at 38

Discounts provided by marketplace owners

Where a marketplace operator makes a supply of distantly taxable goods that it is treated as being the supplier of under s [60C](#) or [60D](#) and the operator provides a discount for the goods sold on its marketplace by an underlying supplier, the marketplace operator is only required to return GST on the reduced price, ie the

amount the consumer actually paid for the supply of goods (and not on the amount of the discount provided by the marketplace) (s [10\(7D\)](#)).

Bad debt deduction rule

There may be situations where an operator of a marketplace may not receive the payment for a supply of distantly taxable goods sold on its marketplace by an underlying supplier (as the payment may be made by the recipient directly to the underlying supplier). In this situation, a marketplace operator that is treated as the supplier of the goods would need to collect the amount of GST that it is required to return on the supply from the underlying supplier.

To provide relief in the situation where a marketplace operator is unable to collect this GST, a special bad debt deduction rule applies to marketplace operators. Under the rule, a marketplace operator is only able to claim a bad debt deduction in its GST return if it wrote off the full amount of money owed by the underlying supplier in relation to the supply, including the marketplace's sales commission or facilitation fee. A marketplace operator that claims a bad debt deduction and later recovers all or some of the debt in a subsequent taxable period will be required to return GST to the extent of the recovery. See s [26AA](#).

Example: marketplace writes off amount owed by underlying supplier as a bad debt

Derek, a consumer in New Zealand, purchases a vinyl record listed on the A Co online marketplace from Retro Audio, a non-resident supplier. The price of the record, including shipping (but excluding GST) is NZ\$40.

At the online checkout, Derek provides an address in New Zealand for the goods to be delivered. Consequently, A Co is deemed to be the supplier of the vinyl record for GST purposes. The supply of the record is a supply of distantly taxable goods subject to GST at the rate of 15%. The GST-inclusive price of the record is therefore NZ\$46 (NZ\$40 + NZ\$6 in GST).

Instead of paying by a method that would provide A Co with some control over the processing of the payment (such as by credit card), Derek opts to pay Retro Audio directly by internet banking transfer. A Co has an agreement with Retro Audio that if a customer pays Retro Audio directly, Retro Audio is required to pay A Co the amount of GST on the sale, along with A Co's commission of five percent on the total sale price. The amount of the debt that Retro Audio owes A Co is therefore NZ\$8.30 (NZ\$6 in GST, plus commission of $\text{NZ\$46} \times 5\% = \text{NZ\$2.30}$).

Retro Audio defaults in paying the debt to A Co, so A Co writes off the full amount of NZ\$8.30 as a bad debt. As A Co returned the NZ\$6 in GST on the supply to IR in a previous GST return, A Co is entitled to claim a bad debt deduction of NZ\$6 in its GST return.

If A Co subsequently recovered any of the debt in a later taxable period, it would be required to return output tax in its GST return for that taxable period, to the extent of the amount of the recovery. For example, if A Co managed to collect NZ\$4.15 from Retro Audio, the fraction given by s [26AA\(3\)](#) would be $4.15 \div 8.30 = 0.5$. A Co would therefore be required to return NZ\$3 in output tax ($0.5 \times \text{NZ\$6} = \text{NZ\$3}$).

If, instead of writing off the full amount as a bad debt, A Co only wrote off a fraction of the amount as a bad debt, A Co would not be able to claim a bad debt deduction in relation to the supply.

Example taken from *Tax Information Bulletin* [1318-102 Vol 31, No 8](#), September 2019 at 26

Redeliverers

Special rules apply when a "redeliverer" brings (or assists in bringing) goods to New Zealand, and neither the underlying supplier of the goods nor a marketplace operator delivers (or arranges or assists delivery) of the goods to New Zealand. The rules require the redeliverer to register and return GST on the supply of the goods.

Definition of "redeliverer"

A "redeliverer" is defined as a person who, under an arrangement with the recipient of the goods, delivers the goods from outside New Zealand to New Zealand, or arranges or assists the delivery of the goods to New Zealand, and does one or more of the following:

- # provides the use of an address outside New Zealand to which the goods are delivered
- # arranges or assists the use of an address outside New Zealand to which the goods are delivered
- # purchases the goods outside New Zealand as an agent of the recipient
- # arranges or assists the purchase of the goods outside New Zealand.

Redeliverer rule

A redeliverer is treated as making a supply of distantly taxable goods in the course or furtherance of a taxable activity if all the following conditions are satisfied:

- # the supply meets the requirements for being a supply of distantly taxable goods (as set out above) if the redeliverer is treated as making the supply
- # no marketplace operator is the supplier under s [60C](#) or [60D](#), and
- # no seller or underlying supplier of the goods makes, arranges or assists the delivery of the goods to New Zealand (s [60E\(1\)](#)).

Priority rule where multiple redeliverers are involved

A priority rule provides certainty about which redeliverer is liable for GST in the situation where multiple redeliverers are involved in bringing distantly taxable goods to New Zealand. The redeliverer that first enters into an arrangement with the recipient of the goods is the person that is treated as making the supply. If no such arrangement exists, the first redeliverer to enter into an arrangement with any other person acting on the recipient's behalf is treated as the supplier (s [60E\(2\)](#)).

Special valuation rule for redeliverers' deemed supplies of goods

In situations where a redeliverer is deemed to be the supplier of distantly taxable goods, the price paid to the actual supplier will not include New Zealand GST. This means that the redeliverer has to return GST on the supply on the basis that the price is GST-exclusive. This requires a special valuation rule for supplies of distantly taxable goods deemed to be made by redeliverers.

The value of a supply of distantly taxable goods by a redeliverer is equal to the consideration paid by the recipient for distantly taxable goods, before the addition of GST (s [10\(7C\)](#)). This means that the amount of GST to be returned by the redeliverer on the deemed supply of the goods is 15% of the price paid by the recipient for the goods.

Amendment to zero-rating rules for international transportation services

An amendment ensures that services provided by redeliverers (which would largely consist of international transportation and handling, storage and logistics provided in relation to goods located offshore, or the arranging or facilitation thereof) in relation to goods that are deemed to be supplied by the redeliverer are subject to GST at the rate of 15%, provided that the supply of the goods themselves is also subject to GST at the rate of 15% (s [11A\(1D\)](#)).

The value of a supply of distantly taxable goods and related transport and facilitation services by a redeliverer is therefore equal to:

- # the consideration paid by the recipient for the distantly taxable goods before the addition of GST (meaning that the amount of GST on the deemed supply of the goods is 15% of the price paid by the recipient for the goods), plus
- # the consideration for the supply of the redeliverer's services with the addition of GST (meaning that the amount of GST on the supply of the redeliverer's services is 3/23 of the GST-inclusive price paid by the recipient).

Example: redeliverer providing a mailbox service

Matt, a consumer in New Zealand, contracts a redeliverer called C Co to pick up a laptop bag from a UK address that C Co provided to Matt and deliver it to Matt's home address in Wellington. Matt paid NZ\$40 for the bag including the amount charged by the supplier for shipping from its retail store in London to C Co's UK address.

When arranging for the goods to be redelivered to his Wellington address, Matt tells C Co that he paid NZ\$40 for the goods. C Co charges NZ\$15 plus GST if any for its services as redeliverer in bringing the goods to New Zealand.

As the estimated customs value of the laptop bag is less than NZ\$1,000, the laptop bag is considered distantly taxable. C Co charges Matt NZ\$23.25, comprising:

- # NZ\$6 in GST, which is 15% of the NZ\$40 Matt paid the UK supplier for the goods

NZ\$15 for C Co's redelivery services, and
NZ\$2.25 in GST, which is 15% of C Co's GST-exclusive fee for its services.

C Co returns NZ\$8.25 in GST to IR when it files its GST return.

Example taken from *Tax Information Bulletin* [¶318-102 Vol 31, No 8](#), September 2019 at 28

Misrepresentations by recipients or non-resident underlying suppliers of distantly taxable goods

The Commissioner has a discretion to treat a person who receives a supply of distantly taxable goods as if they were making a supply of goods and are therefore liable to register and pay the GST that should have been charged. The discretion applies when the person has, for the purposes of avoiding paying tax, knowingly provided incorrect information that leads to GST not being charged on a supply or the goods having a value less than their cost, and this behaviour is repeated or a substantial amount of GST is involved. A recipient who is treated as a supplier is treated as registered from the date on which the supply of the goods is made.

The Commissioner also has a discretion to treat a non-resident underlying supplier of a supply of distantly taxable goods made by a marketplace operator to be the supplier of the goods if they have knowingly provided false information that has caused the operator to return a deficient amount of output tax and this behaviour is repeated or a substantial amount of GST is involved. A supplier who is so treated is also treated as registered from the date on which the supply is made.

Taxable periods

Non-resident suppliers whose only supplies are of distantly taxable goods (or remote services) have calendar quarterly taxable periods (s [15\(6\)](#) and [¶32-680](#)). However, note that s [15\(7\)](#) provides a default taxable period of 4 months for the first period from 1 December 2019 to 31 March 2020 for a non-resident supplier of distantly taxable goods that becomes a registered person during December 2019.

Simplified GST returns

Simplified "pay only" GST returns are available for use by non-resident suppliers of distantly taxable goods. However, non-resident suppliers that claim input tax deductions for any New Zealand GST costs are required to file full GST returns.

Expressing amounts in a foreign currency

A non-resident supplier of distantly taxable goods subject to the rules may choose to express the amount of consideration for their supplies in a foreign currency as at the time of supply. If they elect to use the foreign currency, they can convert the amounts into New Zealand currency using the conversion rate at:

- # the last day of the relevant taxable period
- # the date of supply
- # the earlier of the date of filing the relevant return or the due date, or
- # another date agreed between the supplier and the Commissioner.

Any election to use a foreign currency may not be revoked for at least 24 months, unless the Commissioner agrees otherwise.

When a supplier is required to determine the value of an item of goods to determine if the goods are below the threshold for distantly taxable goods, for those purposes they may convert foreign currency amounts into New Zealand currency using the spot exchange rate applying at the time of supply or a currency conversion method approved by the Commissioner.

Holding records outside New Zealand and in a language other than English or te reo Māori

Section [75\(3F\)](#) provides an automatic exception for non-resident suppliers that only supply remote services or distantly taxable goods from the requirement to apply to the Commissioner for authorisation to keep and retain records in a language other than English or te reo Māori or at a place outside New Zealand.

Exception from the bank account requirement

Section [55B](#) of the TAA provides an exception for non-resident suppliers of distantly taxable goods to the requirement for an offshore person to have a fully functional New Zealand bank account to obtain an IRD number.

Methods for marketplace operators and redeliverers to determine GST treatment of supplies

Sections [60C](#) and [60E](#) deem operators of electronic marketplaces and redeliverers to be the suppliers of goods that are actually supplied by third parties in certain circumstances. This means electronic marketplace operators and redeliverers need to rely on information provided by underlying suppliers or by customers to determine the GST treatment of these supplies. Where an operator or redeliverer returns a deficient amount of output tax as a consequence of inaccurate, incomplete, insufficient or misleading information provided by a seller, underlying supplier or recipient, the deficient amount is treated as a reduction in the person's output tax if they have met the requirements of s [60G](#) (s [60F](#)).

For an operator or redeliverer to meet the requirements of s [60G](#):

- # the deficiency must arise from the inaccurate, incomplete, insufficient or misleading information
- # the operator or redeliverer must have adopted the default methods provided (see below) if they did not know the residency of the underlying supplier, the address the goods were delivered, or the amount of consideration paid for the supply by the recipient, and
- # they must have relied on the inaccurate, etc, information in good faith and on reasonable grounds.

For an electronic marketplace operator that does not know the residency of an underlying supplier, the operator must:

- # treat the underlying supplier as a resident if they have—
 - # information that the underlying supplier is a company incorporated, or with its centre of management, in New Zealand
 - # a New Zealand business number for the underlying supplier, or
 - # 2 or more items of information listed in s [60G\(5\)](#) (see below) that are non-contradictory and support the conclusion the underlying supplier is resident in New Zealand and are more reliable than other listed information the person holds that supports the contrary view, or
- # treat the underlying supplier as a non-resident if the above does not apply.

For an electronic marketplace operator that does not know the address to which the goods are to be delivered, the operator must:

- # treat the supply as being made to the recipient at a place in New Zealand if they—
 - # have 2 or more items of information listed in s [60G\(5\)](#) (see below) that are non-contradictory and support the conclusion the recipient is located in New Zealand, and
 - # does not have 2 or more reliable items of listed information that are non-contradictory and support the contrary view, or
- # treat the supply as being made to the recipient at a place outside New Zealand if the contrary view is not supported by the listed information held.

The items of information listed in s [60G\(5\)](#) are as follows:

- # an address of a physical location for the person such as a mailing or billing address
- # if the person is the underlying supplier for the supply, a New Zealand GST registration number for the person

- # bank details (including the account the person uses for making payments, or the billing address held by the bank, or the account to which the operator person makes payments of amounts owed to the person)
- # the internet protocol address of the device used by the person or another geolocation method
- # the mobile country code of the international mobile subscriber identity stored on the SIM card used by the person
- # the location of the person's fixed landline
- # if the person is the underlying supplier, the location from where the goods are being shipped, and
- # other commercially relevant information.

For a redeliverer that is not responsible for the purchase of the distantly taxable goods in the supply, the redeliverer must:

- # require the recipient of the supply to disclose the value of the consideration before the delivery of the supply, and
- # obtain a receipt issued by the seller of the goods or other confirmation by the seller of the value of the consideration for the supply.

The Commissioner also has a discretion to prescribe or agree to alternative methods for electronic marketplace operators and redeliverers. In doing so, the Commissioner may take into account:

- # commercially relevant information that is available to the person and the reliability of this information
- # the cost for the person of complying with the requirements
- # the existing methods available to the person for preventing and remedying situations where incorrect information is provided.

These default rules and the Commissioner's discretion are intended to reduce compliance costs for electronic marketplace operators and redeliverers in situations where they are unable to strictly apply the rules (owing to insufficient commercially available information), by allowing the person to use other relevant information that is commercially available.

Example: method for determining location of recipient

Dave purchases a GPS from an Australian merchant over the Electronic Marketplace Co platform. Dave has not provided his delivery address to the merchant through the Electronic Marketplace Co platform, but instead provided his delivery address to the merchant via email.

Electronic Marketplace Co collects two pieces of evidence that support the conclusion that Dave is located in New Zealand – his credit card information and the records of his delivery addresses from his purchase history on Electronic Marketplace Co over the past year.

Electronic Marketplace Co also has two pieces of evidence that suggest Dave is located in the United States – his IP address and a landline phone number (the latter of which has not been updated in Dave's trader profile since 2016). Section [60G\(3\)](#) requires Electronic Marketplace Co to use the set of evidence that is more reliable to determine whether GST applies in New Zealand.

Electronic Marketplace Co has implemented system rules that give priority to its customers' transaction history and credit card information, as these indicators are more reliable in the context of their business. On this basis, Electronic Marketplace Co charges New Zealand GST on the supply.

Example taken from *Tax Information Bulletin* [¶318-102 Vol 31, No 8](#), September 2019 at 39

Offences

From 23 March 2020, a recipient of a supply of distantly taxable goods from a non-resident supplier commits a knowledge offence if they knowingly provide altered, false or misleading information relating to their residence in New Zealand or their status as a registered person for the purposes of avoiding the payment of GST (s [143A\(1\)\(g\)](#) of the TAA).

In addition, an underlying supplier supplying distantly taxable goods through a marketplace commits a knowledge offence if the supplier knowingly provides altered, false or misleading information relating to the country or territory in which they are resident (s [143A\(1\)\(h\)](#)). Such misinformation could result in the operator of the marketplace underpaying GST to IR.

See [¶14-250](#) for a discussion of knowledge offences.

Agency rules

New Zealand-resident agents acting for non-resident suppliers that supply distantly taxable goods to New Zealand-resident consumers may agree with the supplier to treat the agent (and not the principal) as making the supply in the course and furtherance of a taxable activity carried on by them (s [60\(1A\)](#) and [\(1AB\)](#)).

If this option is exercised, the agent would be required to register and return GST on the supplies of distantly taxable goods. Since the agent is a New Zealand resident, they would be treated as any other resident supplier of goods and services and, therefore, would be required to return GST on both supplies to New Zealand consumers and GST-registered businesses.

Optional use of proxies for GST place of supply and zero-rating rules

From 1 April 2023, amendments to ss [8\(4\)](#), [8B](#), [8BB](#) and [8BC](#) of the GST Act effectively expand the use of proxies for GST place of supply and zero-rating rules.

At the most basic level, GST is a consumption tax levies on goods and services supplied to New Zealand consumers. As discussed above, non-resident suppliers who provide remote services and distantly taxable low-value goods are permitted to use commercial proxies or practices to determine whether their supply is a taxable supply to a New Zealand customer. The use of proxies has now been expanded to include suppliers of exported remote services and non-resident suppliers of high value imported goods. Rather than requiring agreement between the non-resident supplier and the resident recipient, non-resident supplier may now unilaterally treat the supply as being made in New Zealand.

For a detailed discussion and examples of how the residency proxies work, see *Tax Information Bulletin* [¶356-102 Vol 35 No 6](#) July 2023 at 139.

Law: GST ss [2\(1\)](#) (“[electronic marketplace](#)”, “[entry value threshold](#)”, “[estimated customs value](#)”, “[marketplace](#)”, “[redeliverer](#)”, “[underlying supplier](#)”), [4B](#), [5\(11G\)](#), [\(27\)](#), [\(28\)](#), [8\(3\)](#), [\(4B\)](#), [\(4E\)](#), [\(4F\)](#), [8BB](#), [8BC](#), [10\(3E\)](#), [\(7C\)](#), [\(7D\)](#), [\(7E\)](#), [10B](#), [10C](#), [11\(1\)\(jb\)](#), [11A\(1\)\(jbb\)](#), [\(1D\)](#), [12](#), [12B](#), [12C](#), [15\(6\)](#), [\(7\)](#), [20\(3\)\(dd\)](#), [\(3L\)](#), [\(3LB\)](#), [\(4C\)](#), [\(4D\)](#), [19E\(2\)\(g\)](#), [19F](#), [19G](#), [19K\(9\)](#), [19M](#), [19N](#), [25AA](#), [26AA](#), [51\(1C\)](#), [51B\(7\)](#), [\(8\)](#), [60](#), [60C](#), [60D](#), [60E](#), [60F](#), [60G](#), [77\(2\)](#), [\(5\)](#), [85C](#); TAA ss [55B\(2\)](#), [143A\(1\)\(fb\)](#), [\(fc\)](#), [\(g\)](#)

Last reviewed on 31 December 2025

GST and imported services [¶32-665]

[¶32-665]

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Certain services in business-to-business transactions are subject to GST through the reverse charge mechanism. The mechanism was introduced to address the imbalance between imported goods, which were subject to GST, and imported services, which were not. For further discussion on the reverse charge mechanism, see [¶32-400](#) and [¶32-410](#).

In contrast to imported goods where GST is levied at the point of importation, imported services fall within the “supply” rules. This means that the recipient of the imported services may be liable to account for GST to IR.

Non-resident suppliers who perform the services in New Zealand and have a fixed or permanent place of business in New Zealand are deemed to be resident for GST purposes. Refer to s [2](#) of the GST Act for definitions of “resident” and “non-resident”. These definitions make cross-references to ss [YD 1](#) and [YD 2](#) of the IT07 so that a taxpayer resident in New Zealand for income tax purposes will also be resident in New Zealand for GST purposes. For discussion on cross-border supplies of telecommunications services, see [¶32-627](#).

From 1 October 2016, the rules require overseas suppliers to register and return GST when they sell services (including online products such as e-books, music and videos) to New Zealand consumers. For discussion on the rules for remote services, see [¶32-680](#).

Law: GST ss [2\(1\)](#) (“non-resident”, “resident”), [5B](#), [8\(4B\)](#)

Last reviewed on 31 December 2025

GST and local authorities [¶32-668]

[¶32-668]

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Financial contributions made under the Resource Management Act 1991

Contributions of money or land paid to local authorities under the Resource Management Act (RMA) are subject to GST. It was always intended that these types of payments would be subject to GST; however, the courts have not interpreted the legislation in this way (see *Chatham Islands Enterprise Trust v C of IR* (1999) 19 NZTC 15,075 (CA) and *C of IR v New Zealand Refining Co Ltd* (1997) 18 NZTC 13,187 (CA)).

For GST purposes, a local authority is treated as supplying goods and services to a person if the local authority requires from the person:

- # a financial contribution that is a condition of a resource consent under the RMA, or
- # a development contribution under the Local Government Act 2002.

Similarly, a person who makes a contribution of land to a local authority as a condition of a resource consent or as a development contribution is treated as supplying goods and services to the local authority (s 5(7B) and (7C)).

Resource consent applications

A resource consent may be required for the use of land or other natural resources and can be granted subject to certain conditions. Conditions may include requiring the consent holder to provide services or works and/or provide information relating to the exercise of a resource consent or to transfer land. A fee is payable for applications for resource consent.

Interpretation statement IS 08/03, "Resource consent application fees and provision of works, provision of information and transfer of land as conditions of resource consent — GST treatment" addresses the GST treatment of resource consent application fees paid to local authorities and the GST consequences where resource consent is given subject to conditions relating to the provision of works or services, the provision of information or the transfer of land.

Transfer of land

A local authority that grants subdivision consent subject to the transfer of land does not supply resource consent or any other services for the supply of land by the applicant. The transfer of land required as a condition of subdivision consent is not consideration for the supply of goods or services by a local authority. The consideration is the compensation agreed between the parties or determined in accordance with the procedure in s 237H of the RMA. Accordingly, if a subdivider is a registered person and the supply of land is made in the course or furtherance of their taxable activity, GST is chargeable on the compensation received. The local authority is entitled to a credit for input tax on the compensation paid as the land is acquired in the course or furtherance of the local authority's taxable activity.

Provision of works and/or information

If a consent holder makes a supply of services by carrying out works, consideration is not given for the supply in the form of the grant of resource consent or for the supply of any other services by a local authority. GST is not chargeable on the supply of the provision of works by a consent holder who is registered for GST.

If a local authority pays compensation to a consent holder for works required as a condition of resource consent over and above the requirements of the activity for which consent is given, the compensation is consideration for the supply of services by the consent holder. If the consent holder is a registered person

and the activity for which the consent is given is carried out in the course or furtherance of a taxable activity, GST is chargeable on the compensation paid.

If the activity for which consent is granted is part of a taxable activity carried on by the applicant and the activity could not be carried out unless works required as a condition of resource consent are provided, an input tax credit is allowable for goods and services acquired to carry out such works.

Local authorities do not supply goods or services for the provision of information required as a condition of resource consent. The provision of information under a condition of resource consent does not constitute a supply of services by a consent holder.

Land contributions

A contribution of land made as a condition of a resource consent or as a development contribution is zero-rated for GST purposes (s [11B\(1B\)](#) and [\(1C\)](#)). This avoids any difficulty in determining the value of the land at the time the contribution is made.

Infringement fees

Public ruling, [BR Pub 17/03](#), “Goods and Services Tax — traffic enforcement activities by local authorities — GST output tax on infringement fees retained — treatment of fines — GST input tax on acquisition of goods and services” sets out the Commissioner’s view that traffic infringement fees (commonly arising from parking offences) retained by local authorities under s 141 of the Land Transport Act 1998 are not subject to GST. Notwithstanding this, input tax deductions are still available to the extent that goods and services are used in traffic law enforcement services or in making taxable supplies.

Law: GST ss [5\(7B\)](#), [\(7C\)](#), [11B\(1B\)](#), [\(1C\)](#)

Last reviewed on 31 December 2025

GST and meal expenses [¶32-670]

[¶32-670]

[Click to open document in a browser](#)

Interpretation statement IS 21/06, "Income tax and GST – Treatment of meal expenses" deals with the income tax and GST treatment of meal expenses incurred by self-employed persons, discusses the treatment of meal allowances paid to employees to illustrate the differences with the treatment of self-employed persons and covers the treatment of entertainment expenditure for the same reason. In summary, the GST treatment follows the income tax treatment. Goods and services used for private and domestic purposes are not used to make taxable supplies and input tax on the expenses will not be deductible for GST purposes.

For GST, the principal issue is whether input tax incurred on meals by a self-employed person is deductible, in whole or in part. To determine the deductibility of input tax for GST purposes, 3 criteria must be met:

- # there must be an amount of "input tax" as defined in s 3A ([¶32-021](#))
- # the person must be registered for GST, and
- # the person must be able to satisfy the test in s 20(3C) ([¶32-021](#))

GST input tax may be deducted to the extent to which the goods or services are used for, or are available for use in, making taxable supplies. Consumption of private meals is not considered using goods or services in making taxable supplies.

The interpretation statement [IS 21/06](#) has a number of examples that cover various different scenarios.

Law: GST s [20\(3C\)](#)

Last reviewed on 31 December 2025

GST and payments made by parents or guardians of students to schools and childcare centres [¶32-675]

[¶32-675]

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State schools

The GST treatment of payments made by parents or guardians of students to state schools is considered in public binding ruling [BR Pub 18/06](#), “Goods and services tax — Payments made by parents to state and state integrated schools”. The ruling is a reissue of the earlier ruling, [BR Pub 14/06](#). [BR Pub 18/06](#) does not reflect any material change in the Commissioner’s position on the GST treatment of payments made by parents to the Boards of Trustees, but some parts have been rewritten to improve readability and legislative changes have been included.

The ruling applies in respect of ss [8](#) and [10\(2\)](#) and the definition of “consideration” in s [2](#) of the GST Act. Briefly, the ruling provides that payments made by parents or guardians of children to the Board of Trustees of state or state integrated schools to assist the school with the cost of delivering the education services that the student has a statutory entitlement to receive free of charge are not subject to GST. These payments may be described as “school fees”, “activity fees” or otherwise.

For the payment to be exempt, the children must be New Zealand citizens or New Zealand residents (or are otherwise not international students under the Education Act 1989). However, if other services, not integral to the supply of education services, are supplied on the basis that the supply is conditional upon payment being made, the payment will be subject to GST. If a separate charge is not made for such an item, apportionment may apply, refer s [10\(18\)](#).

For payments to be “consideration”, it must be possible to identify a supply of goods or services other than the supply of education services. The issues that need to be contemplated are:

- # whether what is provided (to students) is within the scope of the statutory entitlement to education services, and
- # if the supply made is outside the scope of the statutory entitlement, whether there is a sufficient relationship between the supply and the payment.

This ruling applies for the period from 21 June 2018 to 20 June 2023.

Private schools

QWBA, [QB 22/08](#), “Goods and Services Tax – Payments made by parents to private schools” sets out when a parent or guardian’s payments made to private schools will be subject to GST. [QB 22/08](#) states that as private schools make taxable supplies of education and education related goods and services to the parents, schools will charge GST at the standard rate of 15%. There are 2 exceptions to this GST treatment. They are:

- # when a parent makes an “unconditional gift” ([IS 20/09](#), “GST – unconditional goods” at [¶32-027](#))
- # when a parent pays for boarding fees — these are subject to GST at a rate of 9%.

Childcare centres

QWBA, [QB 23/04](#) “Goods and Services Tax – Payments made by parents to childcare centres” explains the GST treatment of payments made by parents, guardians or caregivers. A parent’s payment to their child’s childcare centre is, generally, subject to GST at the standard rate of 15% if:

- # the childcare centre is GST registered (or should be GST registered), and
- # the payment is made for the supply of early childhood education, childcare services or related goods.

However, where a parent makes an unconditional gift to their child's childcare centre and that centre is a non-profit body, then that payment is not subject to GST. This includes some types of koha. Note that charitable organisations, or donee organisations may be GST registered. Being charitable does not exempt an entity from GST registration.

Last reviewed on 31 December 2025

GST and nominees [¶32-677]

[¶32-677]

[Click to open document in a browser](#)

The rules applying to transactions involving nominees are intended to provide certainty by adopting an “economic substance” approach. Section [60B](#) clarifies the GST treatment of transactions involving nominations when a contractual purchaser nominates another person (a nominee) to receive the goods or services from the contractual vendor. In these circumstances, the GST treatment will depend on which party provides payment for the supply of goods or services (s [60B\(2\)–\(4\)](#)). For transactions involving land, the supply will always be treated as being made by the supplier to the nominee (s [60B\(6\)](#)).

Section [60B](#) applies when person A enters into a contract to supply goods and services to person B and person B directs person A to provide the goods and services to (a nominated) person C who is not party to the contract. The section does not apply to situations involving supplies made to or by agents, as these situations are governed by s [60](#) ([¶32-610](#)). Also, the rule does not apply to assignments or novations.

The nomination rules in s [60B](#) affect taxable supply information requirements. In transactions involving nominations, a nominee may not have taxable supply information as it may have been issued to the purchaser. In these circumstances, s [19I](#) requires a nominee to maintain records that would allow the name and address of the supplier, the date of payment for the supply, a description of the goods and services supplied, and the consideration for the supply to be ascertained. Section [20\(2\)\(e\)](#) states that a nominee may use the records required under s [19I](#) for claiming an input tax deduction.

Law: GST ss [19I](#), [20\(2\)\(e\)](#), [60B](#)

Last reviewed on 31 December 2025

GST and remote services [¶32-680]

[¶32-680]

[Click to open document in a browser](#)

With application to supplies made on or after 1 October 2016, new rules apply GST to cross-border “remote services” supplied by non-resident suppliers (including e-books, music, videos and software purchased from offshore websites) to New Zealand-resident consumers, by requiring the offshore supplier to register and return GST on these supplies.

The rules are discussed below. There are a number of examples in *Tax Information Bulletin* [¶286-104 Vol 28, No 6](#), July 2016 at 12–29 demonstrating the application of the rules.

Change to the place of supply rules

Section [8\(3\)\(c\)](#) provides that services are treated as being supplied in New Zealand (and therefore subject to GST) when a non-resident supplier supplies remote services to a New Zealand resident, unless the services are physically performed in New Zealand by a person who is in New Zealand at the time the services are performed (in which case the supply would be subject to GST under s [8\(3\)\(b\)](#)).

Supplies of remote services by non-resident suppliers to New Zealand GST-registered recipients for their taxable activity are treated as being supplied outside New Zealand and therefore not subject to GST, unless the supplier chooses otherwise. Where the supplier chooses to treat the supply as made in New Zealand, the supply is zero-rated. The non-resident supplier is then able to claim back any New Zealand GST costs incurred in making the zero-rated supplies.

Note that supplies of remote services to a non-registered person resident in New Zealand are excluded from the zero-rating rule in s [11A\(1\)\(j\)](#) (which zero-rates services that are physically performed outside New Zealand). However, supplies of facilitation or arranging services that arrange services that are not themselves remote services and that are physically performed outside New Zealand will still be zero-rated under s [11A\(1\)\(jb\)](#). This applies irrespective of whether the supplier of the arranging service is a resident or non-resident.

GST registration threshold

Non-resident suppliers are only required to register and return GST when their supplies of remote services to New Zealand resident consumers exceed NZ\$60,000 in a 12-month period.

Non-resident suppliers are able to use a fair and reasonable method of converting foreign currency amounts into New Zealand currency for these purposes. This includes converting amounts to New Zealand currency as at the time of supply, using the exchange rate at the time of testing the threshold, or using an average exchange rate over the period. The method chosen must be used on a consistent basis.

As remote services supplied by a non-resident to a New Zealand GST-registered business are generally treated as not being supplied in New Zealand (and therefore not subject to GST), these supplies will not count towards the registration threshold. However, if the supplier chooses to treat the supplies as made in New Zealand, and thus as zero-rated supplies, they will count towards the threshold.

Remote services

Under the rules, GST applies to cross-border “remote services” provided by non-resident suppliers to New Zealand-resident consumers.

The rules apply GST to a broad range of “remote services”, rather than targeting the rules at specific digital services. “Remote services” are defined to mean “a service that, at the time of the performance of the

service, has no necessary connection between (a) the place where the service is physically performed; and (b) the location of the recipient of the services”.

Whether a service is a “remote service” depends on whether the nature of the service requires that the recipient is present when the service is physically performed. If a service is either actually supplied, or is capable of being supplied, when the recipient is not present, the test is satisfied, because there is no necessary connection between the physical location of the recipient and the place of physical performance.

Examples of services that could be supplied as remote services include:

- # supplies of digital content, such as e-books, movies, TV shows, music and online newspaper subscriptions
- # online supplies of games, apps, software and software maintenance
- # webinars or distance learning courses
- # insurance services
- # gambling services
- # website design or publishing services, and
- # legal, accounting or consultancy services.

Determining whether a customer is resident in New Zealand

Non-resident suppliers are required to determine whether a customer is a New Zealand resident. The non-resident supplier is required to treat a customer as a New Zealand resident on the basis of 2 non-contradictory pieces of evidence that support that conclusion. The rules provide the following list of items that can be used for this purpose:

- # the person's billing address
- # the internet protocol (IP) address of the device used by the person or another geolocation method
- # the person's bank details, including the account the person uses for payment or the billing address held by the bank
- # the mobile country code of the international mobile subscriber identity stored on the subscriber identity module (SIM) card used by the person
- # the location of the person's fixed land line through which the service is supplied to them, and
- # other commercially relevant information.

Examples of other commercially relevant information are the customer's trading history (such as the previous billing address of the customer) or the product purchased if it is linked to a geographic location (eg some gift cards may only be used in a particular country). Information provided by a third party, such as by a payment service provider, can also be used if it is commercially relevant.

When evidence supports 2 places of residence

If a supplier has more than one set of evidence that meets the test of 2 non-contradictory pieces, where one set supports the conclusion that the customer is resident in New Zealand and another supports the conclusion that the customer is resident in another country, the supplier is required to choose the more reliable set of evidence. Which items are more reliable will depend on the circumstances. For example, where the supplier applies the same price regardless of the country of the customer, the recipient's billing address could be a more reliable indicator than would otherwise be the case.

Alternative methods for determining residence of customer

If a supplier is unable to establish a customer's residence on the basis of 2 non-contradictory items from the list, the Commissioner may prescribe the use of another method or may agree with the supplier on the use of another method. When prescribing or agreeing to the use of an alternative method, the Commissioner may take into account the following factors:

- # the nature of the supply, including, for example:

- # whether the supply is made in a low-value high-volume digital context
- # whether the supply is a single instance or a supply made as part of a continuing relationship between the recipient and the supplier
- # the availability to the supplier of information about the recipient's residence.

Determining whether customer is GST-registered

Non-resident suppliers are required to presume that a New Zealand-resident customer is not a registered person unless the customer has provided their GST registration number, New Zealand business number or notified their status as a registered person.

The Commissioner is also able to prescribe or agree to an alternative method of determining whether the supply is made to a GST-registered person. In prescribing or agreeing to an alternative method, the Commissioner may take into account the following factors:

- # the nature of the supply, including, for example, whether the supply is of goods and services that are purchased only by a registered person in the course or furtherance of their taxable activity
- # the value of the supply, including, for example, whether the supply is of a value that would be expected to be received only by a registered person in the course or furtherance of their taxable activity
- # the terms and conditions related to the provision of the goods and services, including, for example, whether the supply is of goods and services that may be leased, licensed, or otherwise made available, for use by a registered person in the course or furtherance of their taxable activity.

Invoices

A non-resident supplier does not need to provide a tax invoice for supplies of remote services under s [8\(3\)\(c\)](#).

However, in the event that a GST-registered business is incorrectly charged GST, if the value of the supply (excluding GST) (before 1 December 2019, the GST-inclusive consideration in money for the supply) is \$1,000 or less (in New Zealand currency as at the time of the supply), a non-resident supplier has the option to provide a tax invoice to the purchaser to allow them to claim a deduction, rather than to refund the GST charged (s 24(5B)).

Input tax deductions

A recipient is not able to claim an input tax deduction for a supply of remote services, unless the recipient has obtained a tax invoice under s [24\(5B\)](#) (where the recipient was incorrectly charged GST and the value of the supply (before 1 December 2019, the consideration for the supply) is NZ\$1,000 or less).

The recipient is not denied an input tax deduction when the supply is treated as made in New Zealand by the recipient of the supply (under s 5B) and the recipient has accounted for the output tax on the supply.

Incorrect GST treatment

When a GST-registered recipient is incorrectly charged GST, a non-resident supplier may make an output tax adjustment in the return when it is apparent that a mistake has been made. This applies when:

- # the supply was standard-rated when it should not have been treated as a taxable supply and no election to provide a tax invoice was made under s 24(5B) (s [25\(1\)\(aab\)](#)), or
- # the supply was standard-rated when it should have been zero-rated (s [25\(1\)\(abb\)](#)).

As stated above, a non-resident supplier has the option to issue a tax invoice when the recipient has been inadvertently charged GST, but only when the value of the supply (before 1 December 2019, the consideration for the supply) is NZ\$1,000 or less, and the recipient notifies the supplier that they are a registered person: s 24(5B).

When the remote supply has been incorrectly taxed, and the supplier opts to issue an invoice, the invoice must contain all the details in s 24(3). The provision of a tax invoice allows the GST-registered recipient to claim the inadvertently charged GST to the extent to which the recipient uses the services, or the services are available for use, in making taxable supplies.

The option to provide a tax invoice is not available to the supply of a contract of insurance.

When a non-resident supplier opts to provide a tax invoice under s 24(5B):

- # the supplier must not make an adjustment under s [25](#) to correct the amount of GST shown on the invoice
- # the supplier and recipient are deemed to have agreed that the supply is made in New Zealand (and so is subject to GST) under s [8\(4\)](#), and
- # the zero-rating provision under s [11A\(1\)\(x\)](#) does not apply.

Reverse charge

The existing reverse charge mechanism has been extended to supplies of remote services that are not treated as being made in New Zealand under s [8\(4\)](#) and [\(4D\)](#). The reverse charge applies if the percentage intended or actual use of the services is less than 95% of the total use. The reverse charge treats the services as being made in New Zealand by the recipient in the course and furtherance of a taxable activity carried on by the recipient (s [5B](#)).

A new reverse charge applies in relation to zero-rated supplies received by a registered person. Section [20\(3JC\)](#) requires the recipient of a remote service that is zero-rated under s [11A\(1\)\(j\)](#) or [\(x\)](#) to return output tax on the nominal GST component for any non-taxable use of the services. This section only applies when, at the time of acquisition, or at the end of an adjustment period, the taxable use of the service is less than 95%.

Non-double taxation rule

Under the current place of supply rules, GST would apply to services that are physically performed in New Zealand and supplied to a non-resident who is in New Zealand. However, according to the OECD guidelines, if that service was a remote service, the country of the consumer's usual residence would have taxing rights over this consumption.

Section [20\(3\)\(dc\)](#) prevents double taxation from arising on supplies of remote services physically performed in New Zealand and received by a non-resident consumer in New Zealand, by allowing a deduction that offsets their liability for New Zealand GST to the extent that the supply has already been subject to a consumption tax in another jurisdiction.

Electronic marketplaces

Special rules apply when remote services are supplied through an electronic marketplace to a New Zealand-resident consumer. The rules require the operator of the marketplace (such as an application store), as opposed to the underlying supplier, to register and return GST.

Definition of “electronic marketplace”

The definition of “electronic marketplace” is:

- # a marketplace that is operated by electronic means through which a person (the underlying supplier) makes a supply of goods or of remote services by electronic means through another person (the operator of the marketplace) to a third person (the recipient), and
- # includes a website, internet portal, gateway, store, distribution platform, or other similar marketplace, and
- # does not include a marketplace that solely processes payments.

The definition is not intended to include “click-through entities” (entities where the ultimate purchaser can click-through a link on their webpage to the supplier).

Operator of electronic marketplace

When a supply of remote services is made through an operator (before 1 December 2019, a non-resident operator) of an electronic marketplace to a person resident in New Zealand, the operator of the marketplace is treated as making the supply in the course or furtherance of their taxable activity.

Note that when the marketplace rules were extended to electronic marketplaces operated by New Zealand residents, an unintended consequence was that the rules also applied to purely domestic arrangements and overrode the existing agency rules in most cases. A retrospective amendment was enacted to ensure the marketplace rules do not apply where the supplies of remote services are made by New Zealand resident underlying suppliers through marketplaces operated by New Zealand residents. Therefore, where the marketplace is operated by a resident, the underlying supplier must be a non-resident for the marketplace rules to operate. A savings provision exists for taxpayers who took an inconsistent tax position in the period from 1 December 2019 to 22 March 2020.

Where the marketplace rules apply, the operator is not treated as making the supply if:

- # the documentation provided to the recipient identifies the supply as made by the underlying supplier and not the marketplace, and
- # the underlying supplier and the operator of the marketplace have agreed that the supplier is liable for the payment of tax, and
- # the marketplace does not:
 - # authorise the charge to the recipient, or
 - # make or authorise the delivery of the supply to the recipient, or
 - # directly or indirectly set a term or condition under which the supply is made.

Where the operator is treated as making the supply, the operator is responsible for returning GST. They include these supplies in their turnover for the purpose of determining whether the registration threshold is exceeded and, if it is exceeded, are liable for the GST.

If, in relation to a single supply of remote services, more than one operator of an electronic marketplace is liable for tax on the supply, the first operator that authorises a charge or receives consideration for the supply is treated as making the supply. If no operator exists that meets this requirement, the first operator that authorises delivery of the supply is treated as making the supply.

Approved marketplaces

Section [60D](#) allows non-electronic marketplaces (such as a marketplace for insurance) to register and return GST. Under the provision, the supply of remote services through a non-electronic marketplace (before 1 December 2019, operated by a non-resident) to a New Zealand resident may be treated as a supply by the operator, not the underlying supplier, if the Commissioner agrees. The operator must apply to the Commissioner and the Commissioner may take the following into account in exercising their discretion:

- # whether the marketplace is best placed to determine whether the recipient of the supply of remote services:
 - # is resident in New Zealand, or
 - # is a registered person
- # whether the number of underlying suppliers to the marketplace means that return requirements are better satisfied by the marketplace rather than the individual underlying suppliers.

Note that, as discussed above in relation to electronic marketplaces, the change to include marketplaces operated by New Zealand residents also caused an unintended consequence in relation to approved marketplaces. A similar retrospective amendment to that enacted for electronic marketplaces was also enacted for approved markets under s [60D](#). Therefore, for the section to apply where the marketplace

is operated by a resident, the underlying supplier must be a non-resident. A savings provision exists for taxpayers who took an inconsistent tax position in the period from 1 December 2019 to 22 March 2020.

Specific rule for underlying suppliers

A specific rule applies to suppliers (before 1 December, New Zealand-resident suppliers only) supplying remote services through an electronic or approved marketplace (s [60\(1C\)](#)). These underlying suppliers may already be registered for GST under the existing rules. If these suppliers were subject to the general rule, the services they supply through the marketplace would no longer be taxable, because the operator of the marketplace would be treated as the supplier. This would mean that GST incurred by the underlying supplier in making these supplies would be unrecoverable.

The rule therefore treats the supply of remote services as 2 separate supplies in these circumstances — a supply of services from the underlying supplier to the operator of the marketplace, and a supply of those services from the operator to the recipient. The first supply to the operator of the marketplace is zero-rated under s [11A\(1\)\(jc\)](#). This will enable the underlying supplier to recover the GST costs incurred in making the supply.

Example:

A Co. is a property developer, and makes 80% taxable supplies and 20% exempt supplies. It issues a bond to raise capital to finance the purchase of land. In issuing the bond, it spends \$11,500 in legal fees, including GST of \$1,500. A Co. claims a deduction of \$1,200 (80% of \$1,500) based on A Co.'s usual ratio of taxable to exempt supplies (excluding the bond issue itself).

Because the bond issue is a supply of an exempt financial service and not a zero-rated supply, A Co. is not required to include the amount of consideration for the supply in Boxes 5 and 6 of its GST return.

Example from *Tax Information Bulletin* [1295-106](#) Vol 29, No 5, June 2017 at 95.

Discounts provided by marketplace owners

From 1 December 2019, the amount of GST that a marketplace operator is required to return on a supply of discounted remote services that it is treated as being the supplier of under s [60C](#) or [60D](#) has been clarified. Where the operator provides a discount for a product sold on its marketplace by an underlying supplier to a New Zealand consumer, the marketplace operator is only required to return GST on the reduced price, ie the amount the consumer actually paid for the supply of services (and not on the amount of the discount provided by the marketplace). See s [10\(7D\)](#).

Bad debt deduction rule

Another recent change provides relief in situations where an operator of a marketplace may not receive the payment for a supply of remote services sold on its marketplace by an underlying supplier (as the payment may be made by the recipient directly to the underlying supplier) and is unable to collect the amount of GST that it is required to return on the supply from the underlying supplier.

A special bad debt deduction rule has been introduced that applies only to marketplace operators. Under the rule, a marketplace operator is only able to claim a bad debt deduction in its GST return if it wrote off the full amount of money owed by the underlying supplier in relation to the supply, including the marketplace's sales commission or facilitation fee. A marketplace operator that claims a bad debt deduction and later recovers all or some of the debt in a subsequent taxable period will be required to return GST to the extent of the recovery. See s [26AA](#).

Agency rules

A New Zealand-resident agent making a supply of remote services to a New Zealand resident on behalf of a non-resident principal is allowed to agree with the principal that the agent, and not the principal, is treated as

making the supply: s [60\(1A\)](#) and [\(1AB\)](#). This will allow, eg New Zealand coverholders to register and return GST instead of the underlying non-resident insurer or marketplace, as they are also likely to be in a better position to return the GST.

General insurance services

General insurance services are subject to special GST rules that apply GST on a net basis. These special rules have been extended to cross-border supplies of insurance services provided to New Zealand-resident consumers.

Insurance services are an example of “remote services”, because there is no requirement for the recipient to be present when the services are performed. As with other supplies of remote services under the amendments, the rules:

- # apply GST to insurance services supplied by offshore insurers to New Zealand-resident consumers, and
- # exclude insurance services supplied by offshore insurers to New Zealand GST-registered businesses from GST, unless the insurer chooses to treat the supply as made in New Zealand so that the supply will be zero-rated.

When an offshore insurer chooses that supplies of insurance services are zero-rated, the insurer is not entitled to a deduction for insurance payments on payments to that GST-registered recipient, and the GST-registered recipient of the payment is not required to return output tax under s [5\(13\)](#).

The reverse-charge provisions in ss [8\(4B\)](#) and [20\(3JC\)](#) apply when a GST-registered business purchases insurance services that relate partly to private or exempt use.

The option to provide a tax invoice when GST is inadvertently charged on a supply with a value of NZ\$1,000 or less is not available for insurance premiums charged to GST-registered businesses.

Gambling services

Section [5\(10B\)](#) treats payments by a New Zealand resident for remote gambling services or prize competitions performed outside New Zealand as payment for the supply of services by the person who conducts the gambling or prize competition. The definition of “gambling” under the Gambling Act 2003 applies.

Section [10\(14B\)](#) applies to determine the consideration for the supply of remote gambling services or prize competitions. The amount of consideration is:

amounts received from residents # prizes paid to residents

where:

amounts received from residents is the total amount in money received in relation to the supply by the non-resident person who conducts the gambling or prize competition from all New Zealand residents, and

prizes paid to residents is the total amount of all prizes paid and payable in money to New Zealand residents in relation to the supply.

Any New Zealand losses are required to be carried forward and offset against future New Zealand winnings. This ensures that offshore suppliers of gambling services do not return an excessive amount of GST when prizes are won or claim excessive refunds on losses.

Misrepresentations by recipients of remote services

The Commissioner has a discretion to treat a person who receives a supply of remote services as if they were making a supply of services and are therefore liable to register and pay the GST that should have been

charged. The discretion applies when the person has, for the purposes of avoiding paying tax, knowingly provided incorrect information that leads to GST not being charged on a supply, and this behaviour is repeated or a substantial amount of GST is involved. A recipient who is treated as a supplier is treated as registered from the date on which the services are physically performed.

Example:

Luke purchases a number of remote services online, including online dating services, music and movie content. Luke is not registered for GST. To avoid paying GST, Luke continually informs suppliers he is GST registered and provides suppliers with a false GST registration number.

The Commissioner exercises their discretion to register Luke from the time the services were physically performed, and requires him to repay the GST that was not charged, plus penalties and interest.

Offences

A recipient of a supply of remote services commits a knowledge offence if they knowingly provide altered, false or misleading information about their residency or GST registration status to avoid being charged GST (s [143A\(1\)\(g\)](#) of the TAA).

In addition, with effect from 23 March 2020, an underlying supplier supplying remote services through a marketplace commits a knowledge offence if the supplier knowingly provides altered, false or misleading information relating to the country or territory in which they are resident (s [143A\(1\)\(h\)](#)). Such misinformation could result in the operator of the marketplace underpaying GST to IR.

For a discussion of knowledge offences, see [¶14-250](#).

Taxable periods

From 1 April 2017, a non-resident supplier of remote services that was taxed under the rules have calendar quarterly taxable periods, ie periods ending on the last day of March, June, September and December. From 30 March 2025, amendments clarify that a non-resident supplier must have a 3-month taxable period if its only supplies in New Zealand are of remote services to which s [8\(3\)\(C\)](#) applies, distantly taxable goods, and/or listed services referred to in s [8C](#). Subsections [15C\(4B\)](#) and [4\(C\)](#) apply if a non-resident suppliers has a 3-month taxable period, but they make other types of supplies in New Zealand and in this situation, the non-resident supplier must apply to IR to change their taxable period to either a one-month, 2-month, or 6-month period (subject to s [15\(2\)–\(5\)](#)), and make the change at the end of the first taxable period in which their supplies in New Zealand no longer meet the test in s [15\(6\)](#) for quarterly filing.

Pay-only return

Because many non-resident suppliers will not incur GST costs in New Zealand and therefore will not need to claim back any GST in their returns, a simplified “pay-only” return is available that only includes the fields that are not relevant to returning GST, such as the amount of supplies to customers resident in New Zealand and the GST required to be paid. Non-resident suppliers that are claiming input tax deductions for any New Zealand GST costs will be required to file a full GST return.

Expressing amounts in foreign currency

A non-resident supplier of remote services that are taxed under the rules may choose to express the amount of consideration for their supplies in a foreign currency as at the time of supply. If they elect to use the foreign currency, they can convert the amounts into New Zealand currency using the conversion rate at:

- # the last day of the relevant taxable period
- # the date the supply was made
- # the date of filing (or the due date if the return is filed after the due date), or

another date agreed between the supplier and the Commissioner.

Any election to use a foreign currency may not be revoked for at least 24 months, unless the Commissioner agrees otherwise.

Holding records outside New Zealand and in a language other than English or te reo M#ori

Section [75\(3F\)](#) provides an automatic exception for non-resident suppliers who only supply remote services or distantly taxable goods from the requirement to keep and retain records in English or te reo M#ori or at a place in New Zealand. They are also not required to seek approval from the Commissioner to keep records outside New Zealand or in a language other than English or te reo M#ori.

Exception from the bank account requirement

Section [55B\(2\)](#) of the TAA provides an exception for non-residents to the requirement for an offshore person to have a fully functional New Zealand bank account to obtain an IRD number where the IRD number is required solely because they are registering for GST (whether under the usual registration rules in s [51](#) or the non-resident registration rules in s [54B](#)).

For further discussion on the remote services rules, see *Tax Information Bulletin* [¶286-104 Vol 28, No 6](#), July 2016 at 12–29.

Law: GST ss [2\(1\)](#) (“[electronic marketplace](#)”, “[marketplace, remote services](#)”), [5\(10B\)](#), [\(13\)](#), [\(27\)](#), [5B](#), [8\(3\)\(c\)](#), [\(4\)](#), [\(4B\)](#), [\(4D\)](#), [8B](#), [8BB](#), [10\(14B\)–\(14F\)](#), [11A\(1\)\(x\)](#), [\(7\)](#), [15\(6\)](#), [15C\(4B\)–\(4C\)](#), [20\(3\)\(dc\)](#), [\(3JC\)](#), [\(4C\)](#), [\(4D\)](#), [24\(4\)](#), [\(5\)–\(5D\)](#), [24B](#), [25\(1\)\(aab\)](#), [\(abb\)](#), [25AA](#), [51\(1C\)](#), [51B\(7\)](#), [60\(1A\)](#), [\(1AB\)](#), [\(1C\)](#), [60C](#), [60D](#), [75\(3F\)](#), [77](#), [85B](#); TAA ss [55B\(2\)](#), [143A\(1\)\(g\)](#)

Last reviewed on 31 December 2025

GST and retirement villages [¶32-682]

[¶32-682]

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Interpretation statement [IS 15/02](#), “Goods and Services Tax — GST and retirement villages” addresses the GST treatment of supplies made and received by retirement villages and the GST treatment of land acquired for the development of retirement villages. The statement considers in detail the nature of the supplies made by retirement villages, taking into account the common legal structures (including payment arrangements) used by retirement villages. It then considers whether those supplies are taxable or exempt supplies. The provision of financial services and the supply of accommodation in a dwelling will be exempt supplies. The statement considers the distinction between a “dwelling” and a “commercial dwelling” in the context of retirement village units and concludes that units whose residents are required to purchase care packages form part of a “commercial dwelling”. The supply of accommodation in such units is a taxable supply. Units whose residents are not required to purchase care packages and where the consideration is paid by the residents for the right to occupy the dwelling are “dwellings”. The supply of accommodation in those units is an exempt supply.

The statement contains the following table summarising the GST treatment of supplies made by retirement villages to residents:

Nature of supply/payment	Paragraph reference	Dwellings (eg independent living villas)	Commercial dwellings (eg rest homes)
Entry payment A payment made to become a resident	[86] to [90]	Most entry payments are not consideration for a GST supply made by a retirement village. Instead entry payments are usually money supplied under an interest-free loan or a refundable deposit	Most entry payments are not consideration for a GST supply made by a retirement village. Instead entry payments are usually money supplied under an interest-free loan or a refundable deposit
Facilities fees or amenities contribution A payment for community facilities or management services, whether payable up front or accrued over a number of years	[91] to [93]	Exempt supply; forms part of the supply of accommodation in a dwelling	Taxable supply; forms part of the taxable supply of accommodation in a commercial dwelling
Periodic fees A payment for the proportionate share of village overheads	[76] to [77], and [94] to [95]	Exempt supply; forms part of the supply of accommodation in a dwelling	Taxable supply; forms part of the taxable supply of accommodation in a commercial dwelling
Payment for care services Payments for additional services such as laundry, cleaning, nursing and meals	[78] to [83]	Taxable supply; separate to the supply of accommodation in a dwelling	Taxable supply
Payment for ancillary and incidental services Payments for services that do not alter the character of the supply from being the supply of accommodation, eg transport services or an emergency response service	[80] to [83]	Exempt supply; forms part of the supply of accommodation in a dwelling	Taxable supply; forms part of the taxable supply of accommodation in a commercial dwelling

Payment for domestic goods and services Domestic goods and services, as defined in s 2 , supplied in relation to a commercial dwelling	[94] to [95]	Not applicable	Taxable supply; but value attributed to supply may be reduced under s 10(6)
Refurbishment payment Payments made by residents for refurbishing their units on termination of occupation	[96] to [99]	Exempt supply; forms part of the supply of accommodation in a dwelling	Taxable supply; forms part of the taxable supply of accommodation in a commercial dwelling
Right to use common areas and facilities	[72] to [75] Appurtenances forming part of dwelling, see [124] to [136]	Exempt supply; forms part of the supply of accommodation in a dwelling	Taxable supply; forms part of the taxable supply of accommodation in a commercial dwelling

The statement also considers claims for input tax deductions by retirement villages. Whether an input tax deduction can be claimed on goods and services acquired by a retirement village depends on the extent to which the goods or services are used for, or are available for use in, making taxable supplies. To determine the extent to which goods or services are used for making taxable supplies, a person must estimate at the time the goods or services are acquired how they intend to use them, choosing a determination method that provides a fair and reasonable result. An adjustment may be needed if the use of a good or service changes in an adjustment period from what was originally estimated when the good or service was acquired.

The statement also considers the zero-rating of land acquired for the development of a retirement village under the zero-rating of land rules in s [11\(1\)\(mb\)](#). It will be a zero-rated supply if the vendor is GST-registered, the operator intends to use the land for making taxable supplies, and the land is not intended to be used as a principal place of residence of the operator or of a person associated with the operator. Retirement village operators will often acquire land with the intention of putting both commercial dwellings and dwellings on the land (ie for making both taxable and exempt supplies). A supply of land can be zero-rated even if the operator only plans to use the land partly for making taxable supplies. The phrase “for making taxable supplies” is not limited to situations where the operator intends to use the land solely for making taxable supplies.

Previous position and transitional provisions

For a discussion of the previous position and transitional provisions, see CCH, *New Zealand Master Tax Guide 2017*, ¶32-053.

Law: GST ss [2\(1\)](#) (“[commercial dwelling](#)”, “[dwelling](#)”), [11\(1\)\(mb\)](#), [14\(1\)\(c\)](#), [21HB\(6\)](#), [\(7\)](#)

Last reviewed on 31 December 2025

GST and secondhand goods [¶32-686]

[¶32-686]

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A registered person who purchases “secondhand goods” in the course of a taxable activity may be able to claim a GST secondhand goods credit. A credit can be claimed only if:

- # the goods will be used for making taxable supplies
- # the goods are in New Zealand
- # the supply is a non-taxable supply (eg a supply made by an unregistered person or an exempt supply)
- # the supply is by way of *sale*, and
- # payment has been made during the relevant taxable period.

The secondhand goods credit is not available if the purchaser or another GST-registered person has previously claimed an input tax credit for Customs GST levied on the importation of goods.

Interpretation statement [IS 25/22](#), “GST – Secondhand goods input tax deduction” explains in detail the requirements that must be met for a registered person to claim a secondhand goods input tax deduction. [IS 25/22](#) is accompanied by 3 fact sheets, IS 25/22 FS 1, “GST – Meaning of secondhand”, IS 25/22 FS 2, “GST – Secondhand goods input tax deduction requirements – summary”, and IS 25/22 FS 3, “GST – secondhand goods input tax deduction – associated person limitation”. IS 25/22 also contains a number of examples to demonstrate the application of the rules.

As a general rule, the secondhand goods credit is 3/23 of the money consideration for the supply. Section [21B\(5\)](#) provides that when a secondhand good is brought into a taxable activity, the input deduction available is limited to the tax fraction in place when the goods were acquired.

Example:

A GST-registered car dealer purchases a secondhand car from an unregistered person for \$9,000 and subsequently sells it for \$12,000 plus \$1,800 GST. The dealer accounts to the Commissioner for the GST output tax of \$1,800 and claims an input tax credit of \$1,173.91.

Exclusive definition

The definition of “secondhand goods” in s [2](#) is an exclusive one. It does not include livestock or, before 30 March 2017, secondhand goods consisting of or made from “fine metal” as that term is defined in the Act.

With effect from 30 March 2017, the definition of “secondhand goods” was amended to allow a secondhand goods credit to be claimed for goods composed of gold, silver or platinum and of a kind manufactured for sale to the public. Deductions can be claimed for goods acquired in the 4 years preceding 30 March 2017, or in an earlier period when a claimed deduction was reassessed within that 4-year period. This recognises that industry practice has been mixed and ensures that businesses that have claimed deductions are not subject to reassessments, but also that compliant businesses are not disadvantaged.

Example:

B Co is a gold refiner. B Co purchases various secondhand gold jewellery items from consumers as inputs for making B Co's zero-rated supplies of newly refined fine gold to gold dealers. Because the goods B Co acquires from consumers are of a kind manufactured for sale to the public (in other words, the goods have undergone a manufacturing process, and are in a finished form a consumer would buy), B Co can claim a secondhand goods deduction for the gold jewellery.

However, if B Co instead acquired alloy gold from a non-registered person that was not of a kind manufactured for sale to the public (ie an item of melted down gold that had not undergone a further manufacturing process, but was still in an unprocessed state), then B Co would not be able to claim a deduction for the alloy gold component of the good under the amended secondhand goods definition.

Example from *Tax Information Bulletin* ¶295-106 Vol 29, No 5, June 2017 at 79.

“Secondhand”

To be “secondhand”, the goods must have been used or treated or stored by a previous owner in such a manner that they could no longer be regarded as new. See Case N16 (1991) 13 NZTC 3,142. This approach was endorsed by the Court of Appeal in *LR McLean and Co Ltd v C of IR* (1994) 16 NZTC 11,211 (CA). While the GST Act does not provide any guidance as to whether land can be classified as “secondhand goods” some court decisions have found that the purchase of land generated a secondhand goods credit (see ¶32-550 for further discussion). A forestry right also constitutes secondhand goods (refer to BR Pub 07/01 and ¶28-022). However, fishing quota, coastal permits and certificate of compliances do not constitute secondhand goods (refer to BR Pub 15/01 and BR Pub 15/02 and ¶27-371).

Records

Full particulars of the purchase must be kept if a secondhand goods credit is claimed (unless the consideration in money is \$50 or less). Standard details to be noted include the name and address of the supplier/recipient, the date of the purchase, a description of the goods, the quantity or volume of the goods, and the consideration for the supply. Any supporting documentation (eg a receipt) should also be retained, especially where a sizeable amount is involved. See ss 20(2)(c) and 19H.

Associated parties

“Associated persons” is defined in s 2A of the GST Act. Where the supplier and recipient are associated persons the input tax credit available on purchases of secondhand goods is limited to the lesser of:

- # 3/23 of the purchase price, and
- # 3/23 of the open market value of the supply, and
- # if the associated supplier has purchased the secondhand goods from a non-associated person, the input tax deduction allowed is equal to the tax fraction of that earlier purchase price from the non-associated person, or
- # if the associated supplier has purchased the secondhand goods from an associated person, an input tax deduction is allowed only if an earlier supply with a non-associated person can be identified after 1 October 1986. In this situation, the input tax deduction allowed is equal to the tax fraction of that earlier purchase price from the non-associated person.

The intended effect of the amendments is to ensure that all associated transfers of the goods are ignored for GST purposes. The ability for associated parties to claim a secondhand goods input tax credit on the above basis is only available if the supply was made in a taxable period starting on or after 30 March 2022, or if made under an agreement entered into after 8 September 2021 and paid for on or after the start of the first taxable period after 30 March 2022.

For the more limited position before 30 March 2022, when the amount of input tax deduction was limited, please see *CCH, New Zealand Master Tax Guide 2022*.

Example:

A developer sells a property to Sam for \$1.15 million, including \$150,000 of GST. Sam is not registered for GST (or, if registered, does not use the property to make taxable supplies). The developer and Sam are not associated persons.

Two months later, Sam sells the property for \$1.2 million to John. As this sale is not subject to GST, there is no GST included in the sale price to John. Sam and John are not associated persons.

John lives in the property for five years and then sells the property for \$1.5 million to his sister, Jasmine, who intends to re-develop the property to use it as the premises for her business of making taxable supplies. John and Jasmine are associated persons, but Jasmine and Sam are not associated persons.

Prior to the amendments, the secondhand goods input tax credit was limited to the GST included in the original cost to John, which was zero – therefore Jasmine would have been unable to claim any secondhand goods input tax credit. This was despite GST being embedded in the chain of transaction costs.

Following the amendments, Jasmine is able to claim a secondhand goods input credit based on the tax fraction (3/23rds) of the original cost to John. The input tax deduction allowed under the new provisions is therefore \$156,522.

This result ensures that Jasmine receives the same input tax deduction (in total) overall that John would have received if, instead of selling the secondhand goods to Jasmine, he had applied the goods 100% in a taxable activity. Under the current adjustment rules, if the property had been applied 100% to a taxable activity by John, the total amount of input tax deduction allowed to John would have been equal to the tax fraction of the cost of the property to him when purchased from Sam.

(Example from *Tax Information Bulletin*, Vol 34, No 5, June 2022.)

Section [3A\(3B\)](#) limits input tax deductions for secondhand goods for land acquired as part of an arrangement involving more than 2 associated persons and more than one supply. If the provision applies, the amount of input tax for the supply is limited to the amount accounted for as output tax for all supplies that are part of the arrangement. IR considered this section necessary to ensure that the zero-rating rules are not circumvented by arrangements involving secondhand goods deductions.

New s 3A(3BB) applies when the supplier of the secondhand goods to an associated registered person has themselves acquired the same goods from an associated person. In most cases, new s 3A(3BB)(a) then limits the input tax deduction for the registered person to the tax fraction of the purchase price of the goods when they were last supplied by a non-associated person. New s 3A(3BB)(b) may apply in scenarios when the goods have been sold multiple times through a chain of associated persons that includes an associated supply by a registered person who had accounted for output tax on the supply of the goods. In these cases, the input tax deduction is limited to output tax previously accounted for on the associated supply made by the registered person. See Examples 35 and 36 in *Tax Information Bulletin* ¶375-102 Vol 37, No 5, June 2025 at 82 to demonstrate the application of this section.

Exported secondhand goods

For the GST treatment of exported secondhand goods, see [¶32-032](#).

The definition of “input tax” in s [3A\(2\)\(b\)](#) ensures that a secondhand goods tax credit cannot be claimed where a non-resident supplies goods to a registered person in New Zealand and those goods have previously been supplied to another registered person who has entered them for home consumption under the Customs and Excise Act 2018 (whether the person was registered at the time they entered the goods for home consumption or later).

Adjustments on changes to supply

Section [25AB](#) ensures that the rules dealing with changes in the consideration for a supply of secondhand goods apply correctly to input deductions claimed by a GST-registered purchaser of secondhand goods. The section applies to a supply of secondhand goods to a registered person when the GST-registered purchaser claimed a secondhand goods deduction, the amount of the claimed deduction exceeds the correct amount as a result of one of the events set out below, and the supplier does not provide taxable supply information or supply correction information in relation to the supply. The relevant events are:

- # the supply has been cancelled
- # the nature of the supply has been fundamentally varied or altered
- # the previously agreed price of the goods changes, whether through the offer of a discount or by other means, or
- # the goods (or part of those goods) supplied have been returned to the supplier.

If the section applies, the purchaser of the goods must return the excess amount of the deduction claimed as output tax for the taxable period in which the relevant event occurred.

Charities and not-for-profits

An input tax credit is limited for secondhand goods acquired by a GST-registered not-for-profit entity and an election under s [20\(3KB\)](#) or [88\(4\)](#) has been made. The limitation applies when the recipient of the secondhand good is associate with the original owner, a not-for-profit body, or another associate. See OS 22/04, “Charities and Donee Organisations Part 1: Charities” (*Tax Information Bulletin*, Vol 34, No 10, November 2022 at 5).

Law: GST ss [2\(1\)](#) (“[secondhand goods](#)”), [2A](#), [3A](#), [20\(2\)\(c\)](#), [\(3\)](#), [19H](#), [21B\(5\)](#), [25AB](#)

Last reviewed on 31 December 2025

GST and single supply versus multiple supplies [¶32-689]

[¶32-689]

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When a supplier enters into a contract with a recipient to supply several goods and services in a single transaction, it is necessary to determine what sort of supply or supplies have been made to ensure that GST is correctly accounted for.

Where elements of what is being supplied are subject to GST at the standard rate, and other elements are zero-rated, exempt or not subject to GST at all, boundary issues will arise. Where multiple elements are supplied with potentially different GST treatments, a supplier must determine whether they have made a single composite supply (of all the elements) with a single GST treatment, or multiple separate supplies (of each element or a combination of elements) with different GST treatments. If the GST treatment of each element of the supply is the same, this issue does not arise.

Note that a GST-registered supplier may issue a single tax invoice when supplying multiple goods or services to the same buyer ([¶32-150](#)).

Commissioner's statement

Interpretation statement, [IS 18/04](#), "Goods and services tax — Single supply or multiple supplies" explains how to determine whether a supply with multiple elements is a single composite supply or multiple separate supplies.

The statement notes that sometimes the GST Act deems supplies of multiple elements to be treated in a particular manner (eg s [5\(14B\)](#), [\(15\)](#) and [\(20\)](#)). Where the GST Act does not deem a particular outcome, the arrangement actually entered into and carried out between the supplier and recipient must be carefully considered.

The answers to the following questions may assist a registered person to decide whether they have made one composite supply or multiple separate supplies:

What is the true and substantial nature of what is supplied to the recipient for their payment?

This requires a registered person to identify the true and substantial nature of what is supplied to the recipient. This is determined objectively and examines what is supplied from the recipient's perspective.

The fact elements could have been supplied separately to the recipient does not mean those elements should be severed from the rest of the supply. In addition, the fact a single price is charged to the recipient does not determine whether one or more than one supply is made. It is the actual supply made to the recipient that must be considered and not how the supply is invoiced or charged to the recipient.

What are the relationships between the elements supplied?

The courts consider whether one element of a transaction is merely ancillary or incidental to, or a necessary or integral part of, any other element of the transaction. The phrases "ancillary or incidental to" and "necessary or integral part of" are different descriptions of a similar test. The facts of each case will determine which description is more appropriate. Factors that indicate elements are ancillary or incidental to, or a necessary or integral part of, a dominant element include whether the element is:

not an aim in itself; instead, the element facilitates, contributes to, or enables the supply of the dominant part

a means of better enjoying the main supply

an optional extra and is not in any real or substantial sense part of the consideration for which a payment is made.

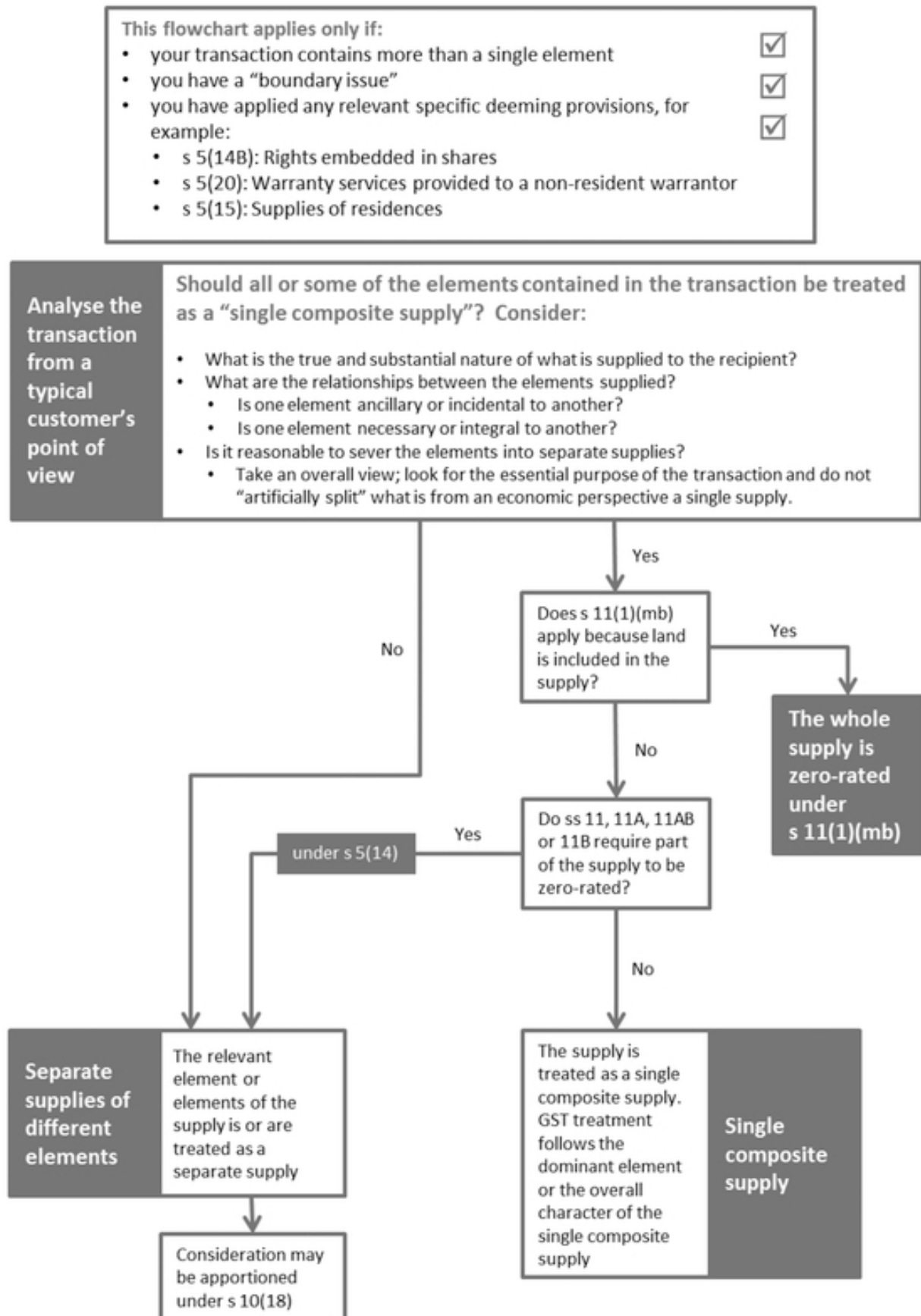
Is it reasonable or practical to sever the elements into separate supplies?

Does a sufficient distinction exist between the different elements of a transaction to make it reasonable to sever them into separate supplies? This requires taking an overall view and looking for the essential purpose of the transaction and not artificially splitting what, from an economic point of view, is a single supply. If, on an objective assessment, it is not reasonable to sever the different elements of the transaction, then there will be only one composite supply.

If there is one composite supply, the zero-rating provisions may apply to zero-rate part or all of the supply. The compulsory zero-rating of land provisions may mean the supply is zero-rated if it includes land (s [11\(1\)\(mb\)](#)). Additionally, despite being a single composite supply, part of the supply may be required to be zero-rated (s [11](#), [11A](#), [11AB](#) or [11B](#)). If the zero-rating provisions do not apply, the GST treatment will follow the dominant element of the supply. If there is no dominant element (eg the supply is made up of several equally important elements that are integral to each other), the GST treatment will be determined by the overall characteristics of the single composite supply.

If there are multiple supplies, the relevant provisions of the GST Act are applied to each supply. Where the recipient pays a global amount for multiple supplies with different GST treatments, the consideration is apportioned between taxable supplies and non-taxable or exempt supplies under s [10\(18\)](#).

This process is summarised in the following flowchart:



[IS 18/04](#) also contains a number of practical examples to illustrate the application of the rules.

Question we've been asked — credit card fees

QWBA, [QB 18/14](#), “GST treatment of fees that suppliers charge customers for using a credit or debit card” considers the issue regarding whether the fee forms a part of the consideration for the goods or services being supplied (so a single composite supply of the goods or services and the payment facility) or whether the fee is a separate supply of a payment facility. This item expands on the analysis in [IS 18/04](#) and concludes that where suppliers charge their customers a fee for using a credit or debit card to purchase goods or services, that fee will form part of the consideration for the goods or services being supplied where:

- # the supplier provides the payment facility directly to the customer
- # the supplier arranges for an agent to supply the payment facility to the customer on the supplier's behalf, or
- # the supplier contracts with a third party to supply a payment facility to the customer.

The fee will have the same GST treatment as those goods or services being supplied. If the goods or services are taxable, output tax must be returned on the amount of the fee.

Example: Paying online using a payment facility provider

Andrew has a monthly plan with his mobile phone company Ember. His \$100 mobile phone bill is due for payment. He goes to the “Pay Online” page of Ember's website. Before making the \$100 payment, Andrew is advised that paying online with a debit or credit card will incur an additional 2% processing fee that will appear on his next statement as a separate transaction. Andrew proceeds and is redirected to a third-party payment facility provider. He provides his debit card details and his payment is processed.

Ember has entered into a contract with the third-party payment facility provider to process its customers' credit and debit card payments.

Ember, not the third-party payment facility provider, has supplied the payment facility to Andrew. A contract exists between Ember and the third-party payment facility provider, but no contract exists between Andrew and the third-party payment facility provider. Andrew has only contracted with Ember. This is made clear in the terms and conditions of Andrew's monthly plan and the invoice that shows that Ember is charging the fee to Andrew.

The true nature of the legal arrangement is that Ember has supplied Andrew with multiple elements — mobile phone services and a payment facility — with each element itemised and charged for separately. Viewing the arrangement between Andrew and Ember from Andrew's perspective, the dominant supply is the supply of mobile phone services, even though he is paying a fee as consideration for using the payment facility. Andrew's ability to use his debit card is not an aim in itself. The payment facility is ancillary to the dominant supply of the mobile phone services in that it enables that supply to occur.

Consequently, the card processing fee is part of the \$102 of consideration for a single composite supply of mobile phone services. It is not consideration for a separate supply. Therefore, Ember should return GST on the phone charges and the processing fee when calculating GST on the supply of mobile phone services.

Example: Buying furniture on an interest-free deal

Mariana's favourite furniture store, IKEO is advertising 12 months' interest-free credit on purchases over \$1,000 made using a Wow credit card. Wow credit cards are issued by a finance company. Mariana decides to purchase a \$2,500 lounge suite using her Wow credit card, taking advantage of the 12 months' interest-free deal. The consultant tells Mariana there will be a 2% credit card fee on her purchase (\$50) and an advance fee (\$35). The advance fee is a one-off fee the Wow credit card company charges to cover the costs of processing the interest-free credit offer.

The consultant provides Mariana with a sales voucher from the Wow credit card company that she asks Mariana to sign. The voucher states that Wow is advancing Mariana \$2,550 for the furniture purchase and \$35 for the advance fee at 0% per annum for 12 months.

IKEO is not a party to the agreement between Mariana and Wow. Wow is not a party to the agreement between Mariana and IKEO. Based on the legal arrangements, there are 2 separate supplies for GST purposes. IKEO is supplying furniture to Mariana and Wow is supplying finance to Mariana.

The \$50 credit card fee relates to the supply of furniture by IKEO. It is charged and invoiced by IKEO as consideration for Mariana using the credit card payment facility IKEO offers to its customers. The credit card fee is calculated by reference to the amount of the furniture purchase. The \$35 advance fee relates to the supply of the interest-free credit. The advance fee is charged by Wow under its credit contract with Mariana and is identified as consideration for the processing services required to supply the credit.

The \$50 credit card fee is part of the consideration for a single composite supply of furniture by IKEO. It is not consideration for a separate supply of the payment facility by IKEO. The payment facility is ancillary to the dominant supply of the furniture. Accessing the credit card payment facility is not an aim in itself for Mariana; instead, it only facilitates the supply of the furniture in the sense of

enabling Mariana to pay for it. Therefore, there is a single, composite, taxable supply of furniture, so all the elements of the supply under the agreement (ie the furniture and the credit card fee) are subject to GST.

The \$35 advance fee is part of the consideration for a single composite supply of interest-free credit by Wow. It is not consideration for a separate supply of processing services by Wow. The true nature of the legal arrangement is for the supply of multiple elements, namely the interest-free credit and the documenting and processing services. Viewing the arrangement between Mariana and Wow from Mariana's perspective, the dominant supply is the supply of the interest-free credit. The processing services are ancillary to the dominant supply of the interest-free credit. Obtaining the processing services is not an aim in itself for Mariana. She has obtained these services only as a necessary pre-condition for securing the interest-free credit. Therefore, there is a single, composite supply of interest-free credit, which is an exempt supply of "financial services". As a result, the processing service element of that supply is also exempt from GST.

If it can be established that there is a separate supply of a payment facility to a customer by a third party, the GST treatment of that separate supply will not be determined by the GST treatment of the supply of goods or services by the supplier. It will be determined by considering the nature of what has actually been supplied. However, even if, after applying [IS 18/04](#), the payment facility is considered to be a separate supply, the Commissioner's view is that it will not be an exempt supply of a "financial service" if the payment facility only provides access to the payment network and facilitates the exchange of information between the card issuer, the acquiring bank and the supplier. In particular, the provision of such a payment facility does not amount to the "arranging" of "financial services" under s [3\(1\)\(l\)](#), because whether the credit or debit card is charged, or settlement occurs, depends on the card issuer's overriding decision. The payment facility provider's role on these facts is limited to transmitting and recording the information that is relied on by the card issuer in making these decisions.

Example: A third party supplies the payment facility directly to the customer

Lucas has set up an online shop called Cheap Feet to sell his animal print socks. Customers select socks and add them to an online shopping cart. When it comes time to pay for their order, customers are automatically directed to an online payment website called PAYBO.

PAYBO is an online payment platform that provides access to the payment network and facilitates the exchange of information between the card issuer, the acquiring bank and Cheap Feet. It does not debit or credit the customer's account, nor does it provide a guarantee to Cheap Feet that settlement will occur. Customers using this service must agree to the PAYBO terms and conditions, which includes permitting PAYBO to charge a 2% credit card surcharge on top of the purchase price. That charge is paid directly to PAYBO. The true nature of the legal arrangements is that there are two separate supplies being made. Cheap Feet has made a supply of goods (the socks) to the customer. PAYBO has made a supply of credit card payment facilities to the customer. Cheap Feet is not a party to the agreement between the customer and PAYBO. The supply of goods from Cheap Feet to the customer is subject to GST at the standard rate. PAYBO will need to determine how to treat the supply of payment facilities to the customer by analysing the services provided under its contract with the customer.

Interpretation statement

The question of whether a supply is a single composite supply of multiple elements or separate supplies for GST purposes has also been recently discussed in the context of supplies made by New Zealand hunting guides or outfitters and taxidermists to overseas hunters in interpretation statement, [IS 20/02](#), "Goods and Services Tax – Supplies by New Zealand hunting outfitters and taxidermists to overseas hunters". In the Commissioner's view, an outfitter makes:

- # one composite GST supply to the hunter of a hunting experience in New Zealand, or
- # 2 separate GST supplies where souvenir animal parts or hunting souvenirs are supplied by the outfitter, being:
 - # a single composite supply of a hunting experience in New Zealand, and
 - # the supply of souvenir animal parts or a hunting souvenir.

The outfitter's single composite supply of a New Zealand hunting experience to an overseas hunter will be a standard-rated supply. However, different GST treatments will apply to the supply of souvenir animal parts or hunting souvenirs depending on the circumstances and contractual arrangements between the parties, and the statement considers 6 scenarios involving supplies of these items for export.

The statement is also accompanied by 3 fact sheets — one each for overseas hunters, outfitters and guides, and taxidermists — that briefly summarise the conclusions reached in the interpretation statement, setting out which supplies are standard-rated and which are zero-rated:

[IS 20/02 FS 1](#), “GST – Supplies by New Zealand hunting outfitters or guides to overseas hunters”

[IS 20/02 FS 2](#), “GST – Supplies by New Zealand taxidermists to overseas hunters and New Zealand outfitters”, and

[IS 20/02 FS 3](#), “GST – Overseas hunters in New Zealand for big game guided hunting”.

The interpretation statement includes discussion on valuing supplies and apportioning consideration where there is a mixture of standard-rated and zero-rated supplies. The value attached to separate supplies should properly represent the consideration paid for those supplies, and the onus is on the outfitter to show that a supply has been valued appropriately.

In the Commissioner’s view, part of the “trophy fee” charged by an outfitter is standard-rated and part is zero-rated. A Commissioner’s statement, [CS 20/02](#), “Trophy hunting and the GST treatment of the ‘Trophy Fee’” has been released to assist outfitters in determining what portion of a “trophy fee” the Commissioner will accept as consideration for the standard-rated supply of the hunt and what portion is consideration for the exported supply of the souvenir animal parts or hunting souvenir. The Commissioner’s statement sets out some standard apportionment percentages for trophy hunting animals in New Zealand that outfitters may use, and those valuations will be accepted by the Commissioner. The use of these percentages is optional, but if an outfitter wishes to zero-rate a greater proportion of the trophy fee, they must be able to satisfy the Commissioner that their zero-rated portion is reasonable.

Last reviewed on 31 December 2025

GST and trading trusts [¶32-690]

[¶32-690]

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Interpretation statement, [IS 18/02](#), “GST — GST treatment of distributions made by a trading trust to a beneficiary” considers the GST treatment of a distribution made by a GST-registered trading trust to a beneficiary, where that distribution consists of goods forming part of the trust’s taxable activity. In summary, the item provides:

Where a GST-registered trading trust makes a distribution to a beneficiary for no consideration and that distribution consists of goods forming part of the trust’s taxable activity, it will be an associated supply for GST purposes. This is because the supply is between 2 associated persons — the trust and the beneficiary.

The supply will likely be a taxable supply as it will be made in New Zealand in the course or furtherance of the GST-registered trading trust’s taxable activity. However, in certain circumstances, the supply could be an exempt supply under s [14](#).

The consideration for the supply is nil. This is because the beneficiary does not pay anything for this distribution of goods. However, GST is payable based on the value of a supply, not necessarily the consideration provided by the recipient. If the beneficiary uses the goods to make taxable supplies (or intends to), the value of the supply will be the consideration paid (ie nil). Otherwise, the value of the supply will be the open market value of the goods.

The time of supply will vary depending on whether the goods vest in the beneficiary with an immediate right to present possession, or with a right to future possession. It also depends on whether the goods supplied can be removed or not.

If the distribution vests property in the beneficiary with a right to present possession and the property is to be removed, the time of supply will be at the time of the removal.

If the distribution vests property in the beneficiary with a right to present possession and the property is not to be removed, the time of supply will be at the same time as the resolution to distribute is made. This is because the property will be immediately available to the beneficiary at that point.

If the distribution vests property in the beneficiary with a right to future possession, the time of supply is at the time the beneficiary is permitted to remove the goods. It is unlikely that the beneficiary would be permitted to remove the property until the future date stipulated in the resolution to distribute. If the goods cannot be removed, the time of supply is the future date when those goods are made available.

In all cases, it is irrelevant that legal title might not have been transferred to the beneficiary at the time of supply (ie on removal or when the goods are made available).

If there is a delay in the transfer of goods from the trust to the beneficiary, the delay may create a bare trust relationship. This means the trustee will hold the goods as bare trustee.

Distributions of goods to beneficiaries may trigger obligations on the trust to either register for or deregister from GST. However, distributions of all of the trust assets or distributions resulting in a substantial and permanent reduction in the size or scale of the trust’s taxable activity will not of themselves trigger a liability to register for GST. Distributions of all of the trust’s assets are likely to trigger a liability to deregister from GST though.

Example: Distribution of goods by a trading trust to a beneficiary

The Cheery Trading Trust is a GST-registered trust. It carries on a car rental business. The Cheery Trading Trust decides to make a distribution of a car to Benedict, a beneficiary of the Cherry Trading Trust. Benedict has just turned 20 and is about to start university.

The distribution of the car to Benedict will be a taxable supply for GST purposes. This is because the car is part of the Trust’s taxable activity. The consideration for the supply is nil. This is because Benedict is not paying anything for this distribution. Special value of supply rules apply to this transaction because the supply is an associated supply. As Benedict does not intend to use the goods to make taxable supplies, the value of the supply will be the open market value of the car (s [10\(3\)](#)) and the Trust will need to account for output tax on this supply.

If Benedict was registered for GST and intended to use the car in his business to make taxable supplies, the value of supply will be the consideration (ie nil) (s [10\(3A\)](#) and [\(3AB\)](#)). The Trust would therefore not need to account for any output tax on this supply. Similarly, Benedict could not claim any input tax on the car.

Special time of supply rules apply to this transaction because the supply is an associated supply. As Benedict has been vested with an immediate right to present possession, the time of supply will be the time Benedict takes possession of the car (s [9\(2\)\(a\)](#)). It is irrelevant that legal title in the car might not have been transferred to Benedict at the time of removal. If Benedict has been vested with a right to future possession (ie when the rental car is returned in 2 weeks' time), that future date will be the time of supply.

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